



ENCAP INVESTMENTS L.P.

COMPLIANCE MANUAL

October 1, 2023

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I. INTRODUCTION

EnCap Investments L.P. (“EnCap” or the “Company”) is an Exempt Reporting Advisor (“ERA”) with the U.S. Securities and Exchange Commission (“SEC”) under Rule 203(l)-1 of the Investment Advisers Act of 1940 (the “Advisers Act”). This Compliance Manual (the “Manual” or “Compliance Manual”) is not a full procedures manual and does not constitute legal advice. For the purposes of this Manual, the term “Employee(s)” shall include the partners, officers, directors, and the employees of EnCap along with interns, temporary and certain other contractors. Please read the Manual in its entirety. The Manual is intended to give Employees a general understanding of the regulatory rules and requirements that apply to EnCap.

All Employees must abide by all applicable policies and procedures contained in this Manual. Employees must be aware of, understand and comply with all policies and procedures that are relevant to their activities and areas of responsibility. The Manual should accurately reflect EnCap’s business practices. Employees should speak to the Chief Compliance Officer (“CCO”) (who is responsible for the approval, oversight, and enforcement of this Manual) regarding any questions about the Manual or whether the Manual should be changed or updated. In addition, please contact the CCO if you believe EnCap’s disclosure documents, regulatory filings, or fundraising materials appear inaccurate, incomplete, or out-of-date.

In developing this Manual, EnCap considered the material risks associated with its operations. This risk evaluation process is ongoing, and the CCO will review and revise this Manual on a no less than annual basis to ensure that EnCap’s policies and procedures adequately address all applicable risks. In the interim, any new policies, guidance, and amendments may be issued by the CCO by email or orally before being formally incorporated into the Manual. Such communications are as valid and binding as the Manual’s written guidance.

Employees will be asked to acknowledge that they have received, understand, and will abide by the policies and procedures contained in this Manual and, to complete the compliance questionnaire within the ComplianceAlpha platform upon commencement of employment, semiannually, and upon any material change to the Code of Ethics portion of this Manual.

This Manual includes reference to certain forms that Employees can use to make disclosures or seek pre-clearance. Please complete such forms within the ComplianceAlpha platform as required. Employees should be aware that EnCap will consider all forms to be binding, irrespective of the way in which they are submitted.

II. CODE OF ETHICS

A. INTRODUCTION

This Code of Ethics (this “Code”) reaffirms the EnCap’s policy on conducting the business of the Company and includes policies herein and in the attached Exhibits. This Code reaffirms EnCap’s policy that each Employee’s compliance with this Code is an express condition of employment.

Although generally covering many facets of unacceptable and illegal behavior, this Code does not identify every specific act which is unacceptable and/or in violation of applicable law. The failure to address a specific act does not render such act acceptable and/or consistent with applicable law. Rather, this Code is intended to serve as a general guideline for the following purposes:

1. To preserve a professional climate in which the integrity and dignity of each individual is enhanced
2. To assure compliance with the laws and regulations that govern EnCap’s business activities
3. To foster a standard of professional conduct that reflects credit on EnCap and its Partners, Officers and Employees
4. To protect EnCap from financial loss and personal liability

Compliance with this Code is essential to protecting EnCap’s business and reputation.

EnCap will distribute the Manual, which contains EnCap’s *Code of Ethics*, to each Employee upon the commencement of employment, on a no less than annual basis, and upon any change to the *Code of Ethics* or any material change to another portion of the Manual. All Employees must use ComplianceAlpha to acknowledge that they have received, read, understood, and agree to comply with EnCap’s policies and procedures described in this Manual, including this Code.

B. APPLICABILITY

This Code shall apply to EnCap and all its affiliates, including all funds under management (“Fund” or “Funds”). This Code shall apply to and shall be observed by all Employees.

This Code requires each Employee to adhere to a level of ethical business conduct above the minimum required by law. It is intended to guide ethical and lawful conduct, to prevent improper conduct and to avoid the appearance of misconduct. It sets forth basic expectations and general guidance concerning appropriate business conduct that all Employees shall follow. EnCap shall not condone or tolerate any conduct that would be unlawful or that would discredit its good reputation.

Each Employee shall be responsible for familiarizing himself or herself with this Code, for identifying those policies that might affect their particular job assignment and for ensuring that his or her behavior is consistent with EnCap’s ethical and legal standards. Each Employee shall be accountable on an ongoing basis for compliance with this Code, with the laws and policies

described in this Code, and with the other policy statements and all procedures within the Compliance Manual; all as supplemented and revised from time to time.

This Code is the starting point in providing direction to Employees on a particular issue. If the Code does not address or resolve a particular issue, it is the Employee's duty to obtain advice by contacting the CCO before proceeding with a course of action.

C. CONSEQUENCES OF NON-COMPLIANCE

If an Employee fails to comply with the requirements of this Manual or any law, rule or regulation applicable to the Company's business, he or she will be subject to disciplinary action by the Company, which may include termination of employment. Any non-compliance or violation of law may also result in severe civil and criminal penalties.

EnCap reserves the right to take disciplinary action against an Employee, including termination of employment, if such Employee engages in conduct deemed to be immoral, unethical, or illegal, whether or not such conduct constitutes a violation of this Manual or relates to the Company's business. EnCap may take such action if, in its sole judgment, the Company believes that the Employee's conduct poses any reputational risk to EnCap whatsoever.

Finally, Employees must report to the CCO any known or suspected violations of the policies and procedures contained in this Manual or other activities of any Employee that could be construed as a violation of any law, rule or regulation applicable to the Company's business. If an Employee is unsure whether a violation has occurred, he or she should discuss the matter with the CCO. Failure to report a violation to the CCO could result in disciplinary action against any non-reporting Employee, which may include termination of employment. As noted above, nothing in this section prohibits, or is intended in any manner to prohibit, a report of a possible violation of federal law or regulation to any governmental agency or entity.

D. WHISTLE BLOWER POLICY

Pursuant to the Whistleblower Rule, as detailed in Section 922 of the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank Act"), the Company's Employees have the obligation to report any concerns or suspicions of improper activity at EnCap by a fellow Employee or other party confidentially and without retaliation. For the avoidance of doubt, nothing in this Compliance Manual prohibits Employees from reporting possible violations of federal law or regulation to any governmental agency or entity, including but not limited to the Department of Justice ("DOJ"), the SEC, Congress, and any agency Inspector General, or making other disclosures that are protected under the whistleblower provisions of federal law or regulation. Employees do not need prior authorization from their supervisor, the Managing Partners, the Chief Financial Officer (the "CFO"), the CCO, or anyone else affiliated with EnCap to make any such reports or disclosures, and they are not required to notify EnCap that they have made such reports or disclosures.

E. COMPLIANCE WITH LAWS AND REGULATIONS

Any action undertaken in the name of EnCap or undertaken by an Employee as an individual that would violate the applicable laws or regulations of any country or its political subdivisions is prohibited.

F. GIFTS AND ENTERTAINMENT

To address the concerns associated with gifts and entertainment, including compliance with the Foreign Corrupt Practices Act of 1977 ("FCPA"), as amended, EnCap has a Gifts and Entertainment Policy (see Exhibit A).

G. INSIDER TRADING

To address key concerns related to the misuse of Material Non-Public Information, EnCap has an Insider Trading Policy (see Exhibit B).

H. CONFLICTS OF INTEREST

No Employee shall be in a position in which their financial interests actually conflict or appear to conflict with the interests of EnCap. The mere appearance of a financial conflict of interest may be as damaging to the Employee and to EnCap as an actual conflict. An Employee shall not enter into any financial transaction or engage in any practice (directly or indirectly) that would tend to compete with EnCap, interfere with one's judgment concerning EnCap's interests, or exploit one's position with EnCap for personal gains. For example, an Employee shall not appropriate EnCap property for an Employee's personal benefit; such conduct is a prohibited direct conflict of interest. Likewise, an Employee shall not seek to influence a third party contractor of EnCap or a consultant to EnCap for the Employee's personal gain; such conduct is a prohibited direct conflict of interest.

To address key concerns related to potential conflicts of interest and Employee personal investments in more depth, EnCap has implemented a:

1. Conflicts of Interest Policy (see Exhibit C),
2. Personal Investment policy (see Exhibit D), and
3. Political Contribution Policy (see Exhibit E).

Each Employee shall report immediately to the CCO the existence of actual or possible conflicts of interest between the Employee and EnCap as described in this policy.

Each Employee shall devote their full time and ability to the service of EnCap during normal working hours. No Employee shall engage in any business or secondary employment which interferes with their obligations and responsibilities to EnCap because of the demands placed by such business or secondary employment on the Employee's time and interests.

I. CONFIDENTIAL INFORMATION

While an Employee may become aware of confidential information about portfolio companies or other business contacts, or confidential technical information regarding their operations or potential operations in the course of their work for EnCap, such confidential information is deemed to be the exclusive property of EnCap both during and subsequent to the course of the Employee's work for EnCap. The Employee shall hold such confidential information in strictest confidence. Furthermore, such confidential information shall be used solely for EnCap purposes and shall never be used or disclosed for the direct or indirect gain of the Employee.

It is the duty of each Employee to safeguard EnCap's confidential information. Disclosure or misuse of confidential information by an Employee, whether stored electronically or manually, is prohibited and subjects the Employee to disciplinary action, up to and including termination of employment. Notwithstanding the foregoing, nothing in this Compliance Manual prevents any Employee (1) from contacting, filing a charge or complaint with, providing information to, or cooperating with an investigation being conducted any government agency; (2) from making disclosures or giving truthful testimony as required by law or valid legal process (such as by a subpoena or other legal process); or (3) from engaging in any other legally protected activities. If any Employee reasonably believes that he or she is required by applicable law to disclose any confidential information of EnCap, the Employee should use reasonable efforts to give prompt notice of such fact to EnCap so that it may, if it so desires and at its expense, seek a protective order or other governmental or judicial relief to prevent disclosure of such confidential information.

J. ACCOUNTING AND REPORTING

Each Employee shall follow prescribed accounting and reporting procedures. No Employee shall falsify or cause to be falsified any book, record or account of EnCap. Each Employee shall maintain books, records and accounts in reasonable detail that accurately and fairly reflect transactions and shall maintain a system of internal accounting controls. All accounting records and reports, as well as supporting papers, must accurately reflect and describe the transactions. Each Employee is prohibited (directly or indirectly) from making materially false or misleading statements or omitting to state a material fact in an audit or examination of EnCap's financial statements, or in the preparation for filing of any required report or document.

K. EXPENSE ACCOUNTS

It is the duty of each Employee to ensure that their travel and entertainment expenditures for EnCap are consistent with the interests of EnCap. Each Employee's expense account shall accurately reflect all expenditures made on behalf of EnCap. Each Employee shall limit the expenditures for which reimbursement is sought from EnCap to those that are reasonable and necessary in conducting EnCap's business.

L. ELECTRONIC INFORMATION AND COMMUNICATIONS POLICY

Electronic information and communication systems include computers, networks, email, voicemail, phone systems, facsimiles, use of internet and other methods of communication or storage for use in conducting EnCap business.

Such electronic information and communications provided by EnCap are considered EnCap property and are not the private property of any Employee. Employees should use such electronic information and communications only for business purposes. EnCap realizes that in the ordinary course of business, Employees may engage in brief, reasonable, and necessary personal communications. Employees should minimize such communications.

Passwords are designed to maintain the confidentiality of EnCap business related information and to give Employees access to all or part of EnCap's electronic communications systems as part of their work functions. Passwords are not designed to provide confidentiality with respect to personal electronic communications systems. Data stored on EnCap's electronic communications systems are the property of EnCap. No Employee should have any expectation of privacy with respect to voicemail, email and use of the internet. If there is a business need to do so, EnCap reserves the right to monitor all employee communications, including telephone calls and deleted data, on its electronic communications systems.

No Employee should attempt to gain access to another Employee's electronic communications or computer files unless expressly authorized to do so by the Employee whose information is being accessed, or by an authorized representative of EnCap. To maintain the integrity of EnCap's electronic communications systems, Employees should not disclose their passwords to any other person.

Employee use of EnCap's electronic communications systems is a privilege, not a right, which places a responsibility on all users of the systems. EnCap may revoke the privilege temporarily or permanently at any time, with or without notice.

This Policy applies to all Employees and contractors using EnCap's electronic information and communications systems, irrespective of the time of day or location of the Employee or contractor. Refer to EnCap's Security Policy within Section XXIV for further information.

M. COMPLIANCE REQUIREMENTS

It is the duty of each Employee to conduct business for EnCap with the utmost integrity and good faith. It is the duty of each Employee to comply with this Code. Such compliance is an express condition of employment with EnCap. The laws and policies described in this Code as well as the more detailed policy statement and procedures in other sections of the Compliance Manual will be updated from time to time to inform Employees of their responsibilities under this Code. It is the duty of each Employee to remain informed as to the requirements of this Code.

Each Employee shall take all actions necessary to ensure compliance of other Employees with this Code. Because compliance with this Code is a condition of employment with EnCap, each Employee is required to sign an Acknowledgment upon employment by EnCap stating their compliance with this Code. When an Acknowledgment is signed, each Employee shall report in writing any potential, known or apparent violation of this Code existing at that time. Further, each Employee shall report any potential, known or apparent violation of this Code occurring subsequent to signing the Acknowledgment to the CCO as soon as the Employee becomes aware of the potential, known or apparent violation. The reporting responsibility of each Employee as expressed in this Code extends not only to actions by such Employee but also to actions of other Employees that may constitute a potential, known or apparent violation of this Code.

N. REPORTING VIOLATIONS

Improper actions by EnCap or its Employees could have severe negative consequences for EnCap, its clients and investors, and its Employees. Impropriety, or even the appearance of impropriety, could negatively impact all Employees, including people who had no involvement in the problematic activities.

Employees must promptly report any improper or suspicious activities, including any suspected violations of the *Code of Ethics* or the Federal Securities Laws to the CCO. Issues can be reported to the CCO in person, or by telephone, email, or written letter. Reports of potential issues may be made anonymously. Any reports of potential problems will be thoroughly investigated by the CCO, who will report directly to the Managing Partners on the matter. Any problems identified during the review will be addressed in ways that reflect EnCap's fiduciary duty to its investors.

An Employee's identification of a material compliance issue will be viewed favorably by the Company's CCO, CFO, and Managing Partners. Retaliation against any Employee who reports a violation of the *Code of Ethics* in good faith is strictly prohibited and will be cause for corrective action up to and including dismissal. If an Employee believes that he or she has been retaliated against, he or she should notify the Managing Partners directly.

Violations of this *Code of Ethics*, or the other policies and procedures set forth in the Manual, may warrant sanctions including, without limitation, requiring that personal trades be reversed, requiring the disgorgement of profits or gifts, issuing a letter of caution or warning, reporting to the Employee's supervisor, suspending personal trading rights, imposing a fine, suspending employment (with or without compensation), making a civil referral to the SEC, making a criminal referral, terminating employment for cause, and/or a combination of the foregoing. Violations may also subject an Employee to civil, regulatory or criminal sanctions. No Employee will determine whether he or she committed a violation of the *Code of Ethics*, or impose any sanction against himself or herself. All sanctions and other actions taken will be in accordance with applicable employment laws and regulations.

EXHIBIT A

ENCAP INVESTMENTS L.P. GIFTS AND ENTERTAINMENT POLICY

I. Statement of Policy

No Employee shall offer or pass, directly or indirectly, anything of value (e.g., gifts, entertainment, kickbacks or other payments or consideration) to any investor or vendor of the Funds while knowing or having reason to know that it will be used to influence others in any transaction affecting EnCap. No Employee shall ask for or accept (directly or indirectly) any gift, entertainment, favor or other improper payment or consideration from a customer, vendor, government official or from any other person in consideration for assistance or influence concerning any transaction affecting EnCap. It is important to keep in mind that the recipient's intent and perception, as well as the subjective valuation of the item conveyed, is often a key factor considered by enforcement agencies.

If not otherwise prohibited or otherwise specifically addressed below, any gift and entertainment expenditure made by an Employee related to any investor or vendor of the Funds in excess of \$500 requires preclearance by the CCO.

II. Non-U.S. Governments and "Government Instrumentalities"

The FCPA may prohibit the direct or indirect giving of, or a promise to give, "things of value" in order to corruptly obtain a business benefit from an officer, employee, or other "instrumentality" of a non-U.S. government. Companies owned, even partly, by a non-U.S. government may be considered an "instrumentality" of that government. In particular, government investments in non-U.S. financial institutions may make the FCPA applicable to those institutions. Individuals acting in an official capacity on behalf of a non-U.S. government or a non-U.S. political party may also be "instrumentalities" of a non-U.S. government.

No Employee shall make a payment of any kind to a foreign official with a view toward aiding, obtaining or maintaining a business relationship within or having to do with a foreign country that may constitute a violation of the FCPA. The FCPA includes provisions that may permit the giving of gifts and entertainment under certain circumstances, including certain gifts and entertainment that are lawful under the written laws and regulations of the recipient's country, as well as bona-fide travel costs for certain legitimate business purposes. However, the availability of these exceptions may be limited and dependent on the relevant facts and circumstances. Further, no Employee shall use an expense account to deviate from any policy described herein.

The CCO must pre-approve all gifts to a foreign official, including entertainment and travel as part of normal business courtesy and hospitality.

If any uncertainty arises as to the application of this policy and prohibited conduct, an Employee shall obtain advice by contacting the CCO before proceeding with any course of action. It is the duty of each Employee to immediately report violations of the FCPA to an EnCap Managing Partner, the CFO, or the CCO.

III. U.S. Labor Union Officials

Any gift or entertainment provided by EnCap to a U.S. labor union or a union official in excess of \$250 per fiscal year must be reported on U.S. Department Labor Form LM-10 within 90 days following the end of EnCap's fiscal year. As such, EnCap prohibits giving gifts and entertainment in excess of \$250 per fiscal year to U.S. labor unions or union officials. Consequently, all gifts and entertainment provided to a U.S. labor union or a union official must be preapproved by the CCO.

IV. U.S. ERISA Plan Fiduciaries

The Employee Retirement Income Security Act of 1974 ("ERISA") concerns the establishment, operation, and administration of employee benefit plans. ERISA sets standards for fiduciaries of such plans and prohibits certain transactions that may involve conflicts of interest. The U.S. Department of Labor administers and enforces ERISA. If a pooled investment vehicle accepts investors that are subject to ERISA, the pooled investment vehicle may become subject to ERISA. However, exceptions may be available if ERISA plan investments are not "significant" (generally, less than 25% of each class of securities) or for an entity that qualifies as a "real estate operating company," a "venture capital operating company," or a "registered investment company."

ERISA prohibits EnCap from giving gifts or entertainment with an aggregate value exceeding \$250 per year to any U.S. ERISA plan fiduciary. Consequently, all gifts and entertainment provided to U.S. ERISA plan fiduciaries must be preapproved by the CCO.

V. State and Local Pension Officials

Employees must be mindful of the myriad state and municipal regulations existing around the exchange of gifts and entertainment with state or local pension officials. Accordingly, Employees must seek preapproval by the CCO before providing any gifts or entertainment in connection with a state or local pension plan or any state or local official.

EXHIBIT B

ENCAP INVESTMENTS L.P. INSIDER TRADING POLICY

I. Policy Statement

Section 204A of the Advisers Act requires every investment adviser to establish, maintain and enforce written policies and procedures reasonably designed, taking into consideration the nature of such investment adviser's business, to prevent the misuse of Material Non-Public Information by such investment adviser or any associated person. The U.S. Federal Securities Laws have been interpreted to prohibit the following activities:

- Trading by an insider while in possession of Material Non-Public Information;
- Trading by a non-insider while in possession of Material Non-Public Information, where the information was disclosed to the non-insider in violation of an insider's duty to keep it confidential;
- Trading by a non-insider who obtained Material Non-Public Information through unlawful means such as computer hacking; and
- Communicating Material Non-Public Information to others in breach of a fiduciary duty.

II. Definition of "Material"

Information is material if a reasonable investor would likely consider it important in making an investment decision. Many types of information may be considered material, including advance knowledge of:

- Dividend or earnings announcements
- Asset write-downs or write-offs
- Additions to reserves for bad debts or contingent liabilities
- Expansion or curtailment of company or major division operations
- Mergers or joint ventures
- New product or service
- Discovery or research developments
- Criminal, civil and government investigations and indictments
- Pending labor disputes
- Debt service or liquidity problems
- Bankruptcy or insolvency
- Tender offers and stock repurchase plans
- Recapitalization plans

Information provided by a company could be material because of its expected effect on a particular class of securities, all of a company's securities, the securities of another company, or the securities of several companies. Material information need not relate to a company's business. For example, information about the contents of an upcoming newspaper column may affect the price of a security, and, therefore, be considered material. Advance notice of forthcoming secondary market transactions could also be material.

Employees should consult the CCO if there is any question as to whether non-public information is material.

III. Definition of "Non-Public"

"Non-public" information means information that has not been made generally available to the public. Once information has been effectively distributed to the investing public, it is no longer non-public. However, the distribution of Material Non-public Information must occur through commonly recognized channels for the classification to change. In addition, there must be adequate time for the public to receive and digest the information. Non-public information does not change to public information solely by selective dissemination. The confirmation by an insider of unconfirmed rumors, even if the information in question was reported as rumors in a public form, may be non-public information. Examples of ways in which non-public information might be transmitted include, but are not limited to:

- In person;
- In writing;
- By telephone;
- During a presentation; and
- Electronic means including email, text message and social networking.

Employees must be aware that even when there is no expectation of confidentiality, a person may become an insider upon receiving Material Non-public Information. Employees should consult the CCO if there is any question as to whether information is non-public.

IV. Penalties for Trading on Material Non-Public Information

Severe penalties exist for firms and individuals that engage in Insider Trading, including civil injunctions, disgorgement of profits and jail sentences. Further, fines for Insider Trading may be levied against individuals and companies in amounts up to three times the profit gained or loss avoided (and up to \$1,000,000 for companies). EnCap will not protect Employees found guilty of insider trading.

V. General Guidelines

Employees are strictly forbidden from engaging in Insider Trading, either personally or on behalf of the Funds. EnCap's Insider Trading Policy applies to all Employees, as well as any

transactions in any securities by family members, trusts, or corporations, directly or indirectly controlled by such persons. The policy also applies to transactions by corporations in which the Employee is an officer, director, or 10% or greater stockholder, as well as transactions by partnerships of which the Employee is a partner unless the Employee has no direct or indirect control over the partnership.

The prohibition against misusing Material Non-public Information applies to all types of financial instruments including, but not limited to, stocks, bonds, warrants, options, futures, forwards, swaps, commercial paper, and government-issued securities.

If an Employee has questions as to whether they are in possession of Material Non-public Information, they should inform the CCO as soon as possible. The CCO will conduct research to determine whether the information is likely material and non-public.

If the CCO determines that the information is material and non-public with regards to a publicly traded security that is not already restricted, the CCO will place the company name on a list of restricted securities (the "Restricted List"). EnCap and its Employees will not place any trades in securities for which it has Material Non-public Information.

Trading in affected securities may resume, and trade restrictions may be adjusted or eliminated when the CCO determines that the information has become public and/or immaterial. At such time, the CCO will amend the Restricted List, as applicable, to indicate the date that trading was allowed to resume.

VI. Relationships with Potential Insiders

EnCap's portfolio companies, investors, consultants, and others may possess Material Non-public Information. Access to such information could come as a result of, among other things:

- Being employed by an issuer (or sitting on the issuer's board of directors);
- Working for an investment bank, consulting firm, supplier, or customer of an issuer;
- Sitting on an issuer's creditors' committee;
- Serving as an elected official, or otherwise being involved in non-public political processes;
- Personal relationships with connected individuals; and
- A spouse's involvement in any of the preceding activities.

Employees should be extremely cautious about investment recommendations, or information about issuers, that it receives from portfolio companies, investors, and others. Employees should inquire about the basis for any such recommendations or information, and should consult with the CCO if there is any appearance that the recommendations or information are based on Material Non-public Information.

EXHIBIT C

ENCAP INVESTMENTS L.P. CONFLICTS OF INTEREST POLICY

I. Policy Statement

Conflicts of interest may exist between various individuals and entities, including EnCap, Employees, and current or prospective portfolio companies, Funds and investors. Any failure to identify or properly address a conflict can have severe negative repercussions for EnCap, its Employees, and/or portfolio companies, Funds, and investors. In some cases, the improper handling of a conflict could result in litigation and/or disciplinary action.

EnCap's policies and procedures have been designed to identify and properly disclose, mitigate, and/or eliminate applicable conflicts of interest. However, written policies and procedures cannot address every potential conflict, so Employees must use good judgment in identifying and responding appropriately to actual or apparent conflicts. Conflicts of interest that involve EnCap and/or its Employees on one hand, and portfolio companies, Funds and/or investors on the other hand, will generally be fully disclosed and/or resolved in a way that favors the interests of portfolio companies, Funds and/or investors over the interests of EnCap and its Employees. If an Employee believes that a conflict of interest has not been identified or appropriately addressed, that Employee should promptly bring the issue to the CCO's attention. Employees should not act on behalf of EnCap regarding any transaction involving persons or organizations with which they or any of their family members (e.g., spouse, significant other, parent, child, parent-in-law, second degree family member, etc.) has any financial or residual interest.

In some instances, conflicts of interest may arise between portfolio companies, Funds and/or investors. Responding appropriately to these types of conflicts can be challenging and may require robust disclosures if there is any appearance that one or more portfolio companies, Funds or investors have been unfairly disadvantaged. Employees should notify the CCO promptly if it appears that any actual or apparent conflict of interest between portfolio companies, Funds and/or investors has not been appropriately addressed.

II. Outside Business Activities

Employees are prohibited from engaging in outside business activities, serving on unaffiliated boards of directors of both not-for-profit and for-profit organizations, and participating in investment clubs that unreasonably conflict with portfolio companies', Funds' and/or investors' best interests and/or EnCap's best interests. Employees should consult with the CCO if there is any question as to whether any outside business activities may create conflicts of interest.

Outside business activities should not interfere with EnCap job responsibilities and time that is supposed to be devoted to such responsibilities. As such, Employees may not engage in outside business activities (including not-for-profit board positions) without the approval of the CCO. (Refer to the Outside Business Activities Preclearance Form located in the Compliance Alpha Platform.) However, portfolio company board service as part of the Funds' investment activities does not require preclearance, including serving as an officer or director of any entity

formed to hold the Funds' interests in portfolio companies. Any new conflicts of interest identified by an Employee engaging in an outside activity after receiving preclearance from the CCO must be promptly reported to the CCO.

No Employee may utilize property of EnCap or utilize the services of EnCap or its Employees, for his or her personal benefit or the benefit of another related person or entity. For this purpose, "property" means both tangible and intangible property, including Funds, premises, equipment, supplies, information, business plans, business opportunities, confidential research, intellectual property, proprietary processes, and ideas for new research or services.

An Employee may not participate in any outside business opportunity that comes to his or her attention as a result of his or her association with EnCap and in which he or she knows that EnCap might be expected to participate or have an interest, without:

- Disclosing in writing all necessary facts to the CCO; and
- Offering the particular opportunity to EnCap.

Any personal or family interest in any of EnCap's business activities or transactions must be immediately disclosed to the Employee's immediate supervisor as well as the CCO. For example, if a transaction by EnCap may benefit that Employee or a family member, either directly or indirectly, then the Employee must immediately disclose this possibility to his/her immediate supervisor and the CCO.

No Employee may borrow from or become indebted to any person, business or company having business dealings or a relationship with EnCap, except with respect to customary personal loans. No Employee may use EnCap's name, position in a particular market, or goodwill to receive any benefit on loan transactions.

An Employee who is engaged in an outside business activity must not transmit Material Non-public Information between EnCap and the outside entity. If participation in the outside business activity results in the Employee's receipt of Material Non-Public Information that could reasonably be viewed as relevant to EnCap's business activities, the Employee must discuss the scope and nature of the information flow with the CCO. Material Non-public Information means information that (i) has not been made generally available to the public, and that (ii) a reasonable investor would likely consider important in making an investment decision, as described in Exhibit B.

III. Charitable Donations

Employees are permitted to make charitable donations to legitimate not-for-profit organizations, except for at the request of an official of a government entity or charities controlled by political candidates/officials, irrespective of the proposed amount or recipient of the contribution without preclearance from the CCO. However, any charitable donation made on behalf of EnCap or an Employee to entities that may pose potential conflicts of interest, appearances of conflicts, or other potential compliance issues, such as organizations that are current or prospective Fund investors, must be precleared by the CCO. (Refer to the Charitable Donations Preclearance Form located in the Compliance Alpha Platform.) Notify the CCO if you

perceive an actual or apparent conflict of interest in connection with any charitable contribution, or if you believe that the contribution could give an appearance of impropriety.

Donations by EnCap or any affiliated entity, or an Employee, such Employee's spouse, or any affiliated entity of such Employee, to an investor in the Funds in excess of \$5,000 requires preclearance by the CCO.

EXHIBIT D

ENCAP INVESTMENTS L.P. PERSONAL INVESTMENT POLICY

I. Policy Statement

Employees' personal account investment activities should be consistent with our fiduciary obligations to our investors: investments should avoid actual improprieties, as well as the appearance of impropriety.

II. Applicability

EnCap's Personal Investment Policy applies to all Personal Accounts holding any Reportable Securities and accounts over which Employees have any beneficial ownership interest, which typically includes accounts held by immediate family members sharing the same household. Immediate family members generally include children, stepchildren, grandchildren, parents, step-parents, grandparents, spouses, domestic partners, siblings, parents-in-law, and children-in-law, as well as adoptive relationships that meet the above criteria.

It may be possible for Employees to exclude accounts held personally or by immediate family members sharing the same household if the Employee does not have any direct or indirect influence or control over the accounts, or if the Employee can rebut the presumption of beneficial ownership over family members' accounts. Employees should consult with the CCO and complete the Close Family Member Rebuttal Attestation in the ComplianceAlpha Portal before excluding any accounts.

III. Permitted Transactions and Preclearance Requirements

- Employees must have written preclearance for all transactions involving securities acquired in an initial public offering ("IPO") or any Energy-Related Private Placement before completing the transaction.
- If clearance is granted for a specified period of time, the Employee receiving the approval is responsible for ensuring that his or her trading is completed before the clearance's expiration. Employees should be cautious when submitting good-until-cancelled orders to avoid inadvertent violations of EnCap's preclearance procedures.
- Employees are generally permitted to trade Securities that are not Energy-Related Securities (as defined below) in their Personal Accounts without preclearance from the CCO (see item F. below for exception).
- Employees are expressly prohibited from making Energy-Related Securities investments in their Personal Accounts, including but not limited to single-name energy equities, debt instruments, options, and certain energy-related exchange traded funds ("ETFs") and mutual funds, subject to the exceptions set forth below.

- The following Energy-Related Securities are permissible investments, provided no other policies (including those related to Material Non-public Information) prohibit their purchase:
 - ExxonMobil
 - Chevron
 - Royal Dutch Shell
 - BP
 - Enbridge
 - TC Energy
 - ConocoPhillips
 - Enterprise Products
 - Kinder Morgan
 - Schlumberger
 - Phillips 66
 - Marathon Petroleum
 - Halliburton
- A restricted list of Securities related to our Energy Transition Strategy is maintained by the CCO. At such time that there is an addition or deletion of an Energy Transition Strategy related Securities investment, the CCO will provide all Employees an updated list of restricted Securities. Please note that all concepts in this policy, including use of Material Non-public Information, apply to Energy Transition Strategy related Securities investments.
- Employees may invest in broad-based energy related ETFs and mutual funds with a market capitalization greater than \$100 million (measured at time of transaction) without preclearance from the CCO.
- Employees may invest in third-party managed accounts that invest in Energy-Related Securities, provided that the relationship with the investment advisor is at arms-length and the Employee has no ability to direct or influence the investment decisions of the investment advisor.
- Employees must have written preclearance for all transactions involving energy-related Private Placements before completing the transactions.
- Transition Provision: Written preclearance from the CCO is required to sell previously purchased Energy-Related Securities. EnCap may disapprove any proposed transaction, particularly if the transaction appears to pose a conflict of interest or otherwise appears improper. (Refer to the Public Energy Personal Investment Sell Preclearance Form in the Compliance Alpha Platform.)
- Employee trading activity must not be so excessive as to conflict with the Employee's ability to fulfill daily job responsibilities.
- Employees should consult the CCO if there is any question as to whether an investment would require preclearance. Any preclearance requests by the CCO must be reviewed by the CFO.

IV. Definitions

- “Energy-Related Securities” includes any Security related to the exploration or development of oil and gas reserves, oil and gas drilling, gathering, processing, storage and transportation, and related service firms..
- “Personal Accounts” refers to all accounts holding any Securities over which Employees have any beneficial ownership interest, which typically includes accounts held by Employees or by immediate family members.
- “Private Placement” means any limited offering that is exempt from registration pursuant to sections 4(a)(2) or 4(6) of the Securities Act of 1933 (the “Securities Act”), or pursuant to Rules 504, 505, or 506 of Regulation D.
- “Securities” broadly includes stocks, bonds, options, interests in Private Placements, futures contracts on other securities, participations in profit-sharing agreements, and interests in oil, gas, or other mineral royalties or leases, among other things. “Security” is also defined to include any instrument commonly known as a security.

EXHIBIT E

ENCAP INVESTMENTS L.P. POLITICAL CONTRIBUTIONS POLICY

I. Statement of Policy

Supporting candidates for public office in the U.S., making charitable donations, or seeking public office can pose risks to an investment adviser, including exempt reporting advisers and advisers that would be required to register with the SEC but for the “venture capital fund adviser” exemption provided by Section 203(b)(3) of the Advisers Act.

Rule 206(4)-5 (the “Pay-to-Play Rule”) has the potential to significantly limit an adviser’s ability to manage assets and provide other services to government-related investors.

The Pay-to-Play Rule defines “contributions” broadly to include gifts, loans, the payment of debts, and the provision of any other thing of value. The SEC’s enforcement staff has interpreted contributions to include substantive donations of an adviser’s communications networks and other resources. Rule 206(4)-5 also includes a provision that prohibits any indirect action that would be prohibited if the same action was done directly.

In light of the potential limitations imposed by the Pay-to-Play Rules, EnCap and its affiliates are prohibited from making political contributions to candidates seeking U.S. public offices.

II. Restrictions on the Receipt of Advisory Fees

With limited exceptions, the Pay-to-Play Rule prohibits the receipt of compensation from a government entity for advisory services for two years following a contribution to any official of that “government entity”.¹ This prohibition also applies to “covered associates” of the adviser as defined by Rule 206(4)-5 under the Advisers Act.

The restrictions on contributions and payments imposed by Rule 206(4)-5 can apply to the activities of individuals for the two years before they became covered associates of an investment adviser. However, for covered associates who are not involved in soliciting investors, the look-back period is six months instead of two years.

III. Restrictions on Payments for the Solicitation of Investors

The Pay-to-Play Rule prohibits the compensation of any person to solicit a government entity unless the solicitor is an officer or employee of the adviser, or unless the recipient of the compensation (i.e., solicitation fee) is an SEC-registered investment adviser or a registered broker-dealer.

¹ A government entity means any state or political subdivision of a state, including (i) any agency, authority, or instrumentality of the state or political subdivision, (ii) a pool of assets sponsored or established by the state or political subdivision or agency, (iii) a plan or program of a government entity; and (iv) officers, agents, or employees of the state or political subdivision or agency.

However, an investment adviser will be ineligible to receive compensation for soliciting government entities if the adviser or its covered associates made, coordinated, or solicited contributions or payments to the government entity during the prior two years.²

IV. Restrictions on the Coordination or Solicitation of Contributions

The Pay-to-Play Rule prohibits an adviser and its covered associates from coordinating or soliciting any contribution or payment to an official of the government entity, or a related local or state political party where the adviser is providing or seeking to provide investment advisory services to the government entity.

V. Prohibition on Contributions

Political contributions by EnCap or any affiliated entity, or an Employee, such Employee's spouse, or any affiliated entity of such Employee, to any national candidate, political party, or political action committee ("PAC") or any state or local government entity, official, candidate, political party, or PAC, are prohibited.

Note that the prohibition on contributions to PACs would not include contributions to the following:

- Organizations which do not in turn make contributions to candidates or
- Organizations whose contributions to candidates is neither controlled nor influenced by EnCap, any affiliated entity, Employee, Employee's spouse, or any affiliated entity of such Employee.

All contributions to PACs require the approval of the CCO.

For the avoidance of doubt, the following activities are prohibited: (i) providing cash contributions; (ii) hosting or sponsoring, fundraising events for political candidates/officials; (iii) contributing to charities controlled by political candidates/officials; (iv) taking on roles in fundraising organizations affiliated with political candidates/officials; and (v) soliciting or coordinating contributions for political candidates/officials.

The CCO will review any past political contributions of all new hires. The review will address, among other things, past state or local political contributions for the prior six months for covered associates who will have no involvement in the solicitation of investors; contributions for all other covered associates will be reviewed for the past two years. The CCO will maintain documentation of this review, and any items for follow up will be brought to the attention of the CFO.

VI. Outside Business Activities

If an Employee is associated with an outside business, such as by serving as an officer or director (including Fund portfolio company boards, including serving as an officer or director of

² Similar prohibitions are expected on broker-dealers pursuant to upcoming FINRA lawmaking.

any entity formed to hold the Funds' interests in portfolio companies), the Employee should recuse himself or herself from any decisions regarding that entity's U.S. political contributions. If the Employee believes that the outside business' U.S. political contributions could give even the appearance of being related to EnCap's advisory activities or marketing initiatives, the Employee must discuss the matter with the CCO.

III. MAINTENANCE OF THE COMPLIANCE PROGRAM

A. THE CODE OF ETHICS AND COMPLIANCE MANUAL

EnCap has adopted this Manual, which includes the *Code of Ethics*, in order to reflect the Company's obligations under the federal securities laws and associated rules. The CCO is responsible for maintaining the Manual; Employees should notify the CCO immediately if the Manual does not address a material compliance risk or is inconsistent with EnCap's practices. Employees are prohibited from modifying the Manual without the CCO's written approval.

B. ANNUAL COMPLIANCE REVIEWS

The CCO with the assistance of ACA Group ("ACA") performs a focused annual review of EnCap's compliance program. This review incorporates any compliance matters that arose during the preceding year, any substantive changes in EnCap's business activities, and any applicable regulatory developments. During each annual review, ACA will evaluate and test the implementation of EnCap's written policies and procedures. Following each review, the CCO with the assistance of ACA prepares a written report that identifies any substantive findings.

C. ONGOING MONITORING AND FORENSIC TESTING

EnCap's CCO will monitor and periodically test Employees' compliance with the Company's policies and procedures. In addition to contemporaneous monitoring of individual transactions and other activities, the CCO and ACA, may periodically analyze EnCap's books and records to detect patterns that may be indicative of compliance breaches. These forensic tests seek to identify patterns showing potentially abusive activity.

D. TRAINING

EnCap's CCO will review applicable compliance policies and procedures with all new Employees. The CCO with the assistance of ACA will also conduct compliance training for Employees, either individually or in groups, at least quarterly.

E. THE CHIEF COMPLIANCE OFFICER

The CCO reports directly to EnCap's Managing Partners and has full authority to implement EnCap's compliance program. Employees should notify the CCO immediately if EnCap appears to have failed to identify or appropriately address any compliance issue.

The CCO is familiar with EnCap's obligations under the federal securities laws and rules. As necessary, the CCO will consult with ACA and/or general counsel and/or outside counsel regarding any compliance matters that may arise.

F. DUTY TO SUPERVISE

Pursuant to Section 203(e) of the Advisers Act, if an investment adviser fails to reasonably supervise an employee or any other person subject to the adviser's supervision and that person violates the federal securities laws, then the SEC may censure, limit the activities of, or revoke

the registration of the investment adviser. However, Section 203(e)(6) states that an investment adviser will not be deemed to have failed to reasonably supervise any person if the adviser:

1. Established procedures, and a system for applying such procedures, that would reasonably be expected to prevent and detect, insofar as practicable, any such violation by such other person; and
2. Reasonably discharged the duties and obligations incumbent upon it by reason of such procedures and system without reasonable cause to believe that such procedures and system were not being complied with.

EnCap's management recognizes its duty to supervise the actions of its Employees. Compliance with the policies and procedures contained in this Manual assists EnCap's management in fulfilling its supervisory obligations. The policies and procedures included in this Manual are intended to prevent and detect violations of applicable laws, rules and regulations by Employees. As appropriate, this Manual identifies the individuals who have supervisory authority over EnCap's various activities. Employees who are unfamiliar with any activities, or who require assistance carrying out their duties, are expected to consult with an appropriate supervisor.

All Employees must comply with the letter and the spirit of this Manual, which includes the *Code of Ethics*. Employees are expected to use good judgment, and to report any suspected violations of EnCap's policies or the federal securities laws to their supervisor and/or the CCO, as appropriate. EnCap's management will include the CCO in the resolution of any issues that may involve a violation of the Federal Securities Laws or a weakness in EnCap's compliance program.

Supervisory Responsibilities

EnCap's Employees may have explicitly defined supervisory responsibilities because of a position or title, and/or de facto supervisory responsibilities because of activities, roles, abilities, or operational authority within the Company. All Employees with explicit or implicit supervisory authority have affirmative duties to:

1. Ensure that EnCap's practices are consistent with the Company's written policies and procedures, and are not inconsistent with disclosures to clients or investors;
2. Effectively monitor Employees over whom they have supervisory authority; and
3. Ensure that EnCap responds appropriately and in a timely manner to any actual or suspected wrongdoing, undisclosed conflicts of interest, ineffective internal controls or other compliance risks.

Escalating Perceived Risks

Employees are generally expected to discuss any perceived risks, or concerns about EnCap's business practices, with their direct supervisor. Supervisors should act prudently and exercise good judgment when determining an appropriate response to any reported risks or concerns. The CCO should be informed of any potentially serious risks, material weaknesses in internal

controls, or inappropriate business practices. Although each potential issue or risk will be addressed on a case-by-case basis, the CCO typically works with the affected Employee's direct supervisor, and may also involve other members of senior management, to achieve an appropriate resolution.

IV. DISCLOSURE AND REGULATORY FILINGS

A. ACCURACY OF DISCLOSURES

As a fiduciary, EnCap has an obligation to ensure the accuracy of its regulatory filings and any communications sent to investors and potential investors, such as offering memoranda and investor statements. The accuracy of these documents will be the primary responsibility of the CCO.

The SEC and other regulatory agencies require investment advisers to maintain and distribute certain disclosure documents. The failure of an adviser to meet statutory disclosure or filing requirements, or more generally to provide clients and investors with full and fair disclosure as required, may subject the adviser to regulatory sanctions and/or increase the likelihood of civil litigation. EnCap will ensure the timely and accurate submission of all required regulatory filings.

Subscription Agreements and PPMs - EnCap must receive a completed subscription agreement from each prospective investor before any subscription will be accepted. Any changes to the subscription agreement or PPM must be reviewed and approved by the CFO.

B. FORM ADV

EnCap is required to file Form ADV and amend it annually within 90 days of the Company's fiscal year end (or more frequently to reflect material changes to the Company). The CCO will be responsible for ensuring that (i) the Form ADV (Part 1) remains accurate and complete; (ii) all required amendments are filed, or completed, on a timely basis; (iii) the Company pays the annual filing fees; and (iv) previously filed versions of the Form ADV (Parts 1) and all amendments are retained.

When compiling the information disclosed on the Form ADV, the CCO shall rely on certain of the Company's Employees to review the information disclosed in the filing to ensure accuracy in disclosures relating to the Company's investment process, strategy, financial condition and biographical data of personnel.

C. FORM 13F

Section 13(f) of the Securities Exchange Act of 1934 (the "Exchange Act") generally requires investment advisers that exercise discretion over U.S. equities with a combined value of at least \$100 million to file Form 13F. Form 13F is filed electronically using the SEC's Electronic Data Gathering, Analysis, and Retrieval system ("EDGAR"). The form must be submitted within 45 days of the end of each calendar quarter.

If an adviser has discretion over more than \$100 million in U.S. equities at the end of any month, the adviser must first file Form 13F for the quarter ending December 31. An adviser must continue to file Form 13F for the next three quarters, even if the value of equities under its discretionary management falls below \$100 million.

D. SCHEDULE 13D

Section 13(d) of the Exchange Act generally requires a beneficial owner of more than 5% of a class of equity securities registered under the Exchange Act (i.e., equity securities of a publicly traded company) to file Schedule 13D with the issuer, the SEC, and those national securities exchanges where the securities trade. Initial Schedule 13D filings must be made within 10 days of the transaction that resulted in beneficial ownership exceeding 5%. Rule 13d-3 under the Exchange Act defines “beneficial ownership” broadly to include, among other things:

1. The power to direct the voting of a security;
2. The power to direct the disposition of a security; and
3. The right to acquire beneficial ownership within 60 days through an option or by the conversion of a different security.

An amendment to Schedule 13D must be filed promptly (i.e., within two business day) if there are any material changes to the disclosures set forth in a previously-filed Schedule 13D. Material changes include, among other things, an acquisition or disposition of securities in an amount equal to 1% or more of the class of outstanding securities.

Any transactions involving securities that may require a Schedule 13D filing should be brought to the attention of the CCO immediately.

E. SCHEDULE 13G

In general, an investment adviser registered with the SEC or any state may file Schedule 13G instead of Schedule 13D if it holds more than 5% of a class of an equity security passively (i.e., without the purpose of changing or influencing control of the issuer). Such an investment adviser must file Schedule 13G with the SEC within 45 days of the end of the year. However, if an SEC or state-registered investment adviser’s ownership interest exceeds 10% on the last day of any month, then the initial Schedule 13G must be filed with the SEC within 10 days of the end of the month.

Any individual holdings that approach 5% and any transactions involving securities that may require a Schedule 13G filing should be brought to the attention of the CCO immediately. The CCO may consult with general counsel and/or outside counsel if there is any question as to whether EnCap should file Form 13G or Form 13D.

F. FORM 13H

Exchange Act Rule 13h-1 requires investment advisers to file Form 13H and obtain a large trader identification number (“LTID”) from the SEC if their transaction activity in National Market System securities exceeds either one of the following identifying activity levels:

1. Two million shares or \$20 million during any calendar day; or
2. Twenty million shares or \$200 million during any calendar month.

Once a large trader meets or exceeds the identifying activity level, the large trader must submit an initial Form 13H Filing to the SEC within 10 calendar days. When the initial filing is submitted, the large trader identifies itself to the SEC as a large trader.

G. FORM D

All issuers offering securities in reliance on an exemption under Regulation D of the Securities Act (such as unregistered funds) must file Form D electronically with the SEC no later than 15 days after the first sale of securities. Form D filings must also be amended at least annually and as soon as is practicable:

1. Upon discovery of any material mistake or error of a previously filed form; and
2. To reflect most changes in the information included in the most recent filing, except that changes to the following information do not require an amended filing:
 - i. The address or relationship status of a “related person” identified in Item 3 of the form;
 - ii. The issuer’s revenues or aggregate net asset value;
 - iii. An increase in the minimum investment amount;
 - iv. A cumulative decrease in the minimum investment amount of 10% or less;
 - v. The address or relevant states of operation of a person being paid to solicit investors;
 - vi. The amount of securities sold, or remaining to be sold, in the offering;
 - vii. The number of non-accredited investors, so long as this number does not exceed 35;
 - viii. The total number of investors in the offering;
 - ix. A decrease in the amount of sales commissions, finders’ fees or use of proceeds to pay executive officers, directors, or promoters; and
 - x. A cumulative increase in the amount of sales commissions, finders’ fees or use of proceeds to pay executive officers, directors, or promoters of 10% or less.

A Form D must also be filed in many states in which the securities are marketed. Many states allow issuers 15 days from the date of first issuance in that state to submit a Form D, but filing obligations vary from state to state. Also, many states require Form D submissions on paper forms that differ somewhat from the electronic Form D that is submitted to the SEC. Finally, certain states may require additional state-specific filings to supplement the Form D filing when an adviser offers an unregistered fund in those states. Taken together, the state filing obligations are often referred to as “blue sky filings.”

H. STATE NOTICE FILINGS

EnCap may be required to make a “notice filing” with any state where the Company maintains a place of business or in some states where the Company has more than a de minimis number of clients. Such notice filings, if required, are made by checking the appropriate box in Item 2.C. of

Form ADV, Part 1A and having the requisite funds in the Company's IARD account to cover the state filing fee. The CCO will be responsible for determining which, if any, states require a notice filing and ensuring that all required annual notice filings and any required interim filings to reflect changes to Form ADV are made and that all required state notice filing fees are paid.

I. LOBBYIST FILINGS

A number of municipalities and states have regulations governing marketing activities associated with public pools of money. For example, the California Political Reform Act requires individuals and entities soliciting that state's pension plans to register as lobbyists. Similarly, New York City's Administrative Code regarding the Regulation of Lobbying requires registration for individuals and entities soliciting investments from the city's pension plans. Registration requirements vary by locality, but may include limitations on gifts and entertainment, periodic reporting, and ethics training, among other things. An Employee conducting marketing should consult with the CCO regarding any potential requirements to register as a lobbyist before seeking any public pool of money investors. The CCO may consult with general counsel and/or outside counsel if there is any question regarding a potential need for EnCap or the Employee to register as a lobbyist.

J. FOREIGN FILING REQUIREMENTS

Some foreign regulators require beneficial owners to make filings or comply with other regulations when their holdings exceed certain thresholds. Filing requirements may also be dependent upon a fund or investor's location. For example, the European Markets Infrastructure Regulation requires filings for managers with private funds domiciled in the European Union ("EU"). Filing obligations and other regulations vary by country.

K. AIFMD

With respect to AIFMD, passive marketing or "reverse solicitation" is not included in the definition of "marketing." An adviser would not be subject to the AIFMD solely because it responds to genuine inquiries from prospective investors. As such, and in order to remain outside of the scope of the AIFMD, EnCap will not actively market a private fund into the EU. However, EnCap may respond to unsolicited inquiries from prospective investors located in the EU. EnCap's investor relations professionals are responsible for ensuring that EnCap has documented any prospective investor's unsolicited inquiry prior to allowing EnCap to provide the prospect with information about any Fund.

V. MAINTENANCE OF BOOKS AND RECORDS

A. BACKGROUND

Rule 204-2 under the Advisers Act requires investment advisers to maintain certain books and records, as applicable, which are listed in the attached *Required Books and Records* table. Investment advisers should also establish policies and procedures governing:

1. The accurate creation of books and records;
2. Any appropriate limitations on the availability of certain books and records to certain employees and outside entities; and
3. The proper disposal of books and records that need not be maintained for business or regulatory compliance purposes.

The accurate creation and proper maintenance and use of books and records are an important foundation of any investment adviser's operations and compliance with applicable federal securities laws.

Employees should be aware that all of the records can be subject to review by SEC examiners, irrespective of whether the records are required to be retained pursuant to Rule 204-2. Employees should be aware that the SEC's examination authority includes emails and other electronic communications that relate to a registered investment adviser's business activities, as well as emails and other electronic communications that are sent or received on the adviser's computer systems.

B. POLICY

Books and records required by Rule 204-2 under the Advisers Act will be maintained for at least six years from the date that the record was created or last altered, whichever is more recent. Required records will be kept onsite for at least two years after they are created or last altered, and will be organized to permit easy location, access, and retrieval.

C. ELECTRONIC RECORD RETENTION

EnCap may maintain and preserve required records electronically so long as:

1. The records are arranged or indexed in a way that permits easy location, access, and the retrieval of any particular record;
2. A duplicate copy of each electronic record is stored separately, either in electronic or hard copy format; and
3. Upon request, EnCap can promptly provide the SEC with:
 - i. A legible, true, and complete copy of the record in the format in which it is stored;
 - ii. A legible, true, and complete printout of the record; and

- iii. The means to access, view, and print the records from the format in which they are stored.

If EnCap converts hard copy documents into an electronic format for storage purposes, the Company will test to ensure that, upon conversion, the electronic documents are complete, true, legible, and retrievable.

D. RECORDS WAREHOUSING

Records may be moved from EnCap's offices to an offsite storage facility when the records are no longer regularly needed and when any required on-site retention period (as described in the attached *Required Books and Records* table) has elapsed. The CCO or designee is responsible for overseeing any offsite storage of EnCap's records and must pre-approve any movement of records to an offsite storage facility. Additionally, the CCO will evaluate Form ADV disclosure obligations regarding the use of an off-site books and records storage facility.

E. DOCUMENT ALTERATION

Employees must be cautious when altering EnCap's records. Dated documents that are later altered should be modified in ways that clearly distinguish between the original content and any changes. To the extent that an agreement has been executed by a third party, Employees are prohibited from later altering the agreement unless the alterations are clearly marked as having been made after execution.

VI. DOCUMENT RETENTION POLICY

A. POLICY OBJECTIVES

The objective of this policy is to ensure that necessary records and documents are adequately protected and maintained, and to ensure that records that are no longer needed or of no value are destroyed at the appropriate time.

This Retention Policy seeks to:

1. Promote compliance with federal, state and other legal requirements for record retention.
2. Ensure access to EnCap's accumulated knowledge through promoting the efficient management, sharing and transfer of information within prescribed security standards.
3. Effectively utilize limited office space for active records and utilize low-cost, remote storage space for inactive records.
4. Dispose of records no longer needed to satisfy legal, regulatory or other requirements.
5. Ensure that no record is disposed of unless authorized.
6. Ensure that the means of destruction is appropriate for the type of record under consideration.
7. Ensure the preservation of records of permanent value.
8. Ensure that record retention policies, schedules and procedures are reviewed and modified as necessary to respond to changes in technology or regulations.

B. APPLICABILITY

This policy applies to all records generated in the course of our operations, including both original documents and reproductions, and paper and electronic documents. The law requires EnCap to maintain certain types of corporate records, usually for a specified period of time. Failure to retain those records for those minimum periods could subject EnCap to penalties and fines, cause the loss of rights, obstruct justice, spoil potential evidence in a lawsuit, place EnCap in contempt of court, or seriously disadvantage EnCap in litigation.

EnCap expects all Employees to fully comply with all published records retention or destruction policies and schedules as long as there is no active or reasonably foreseeable litigation or governmental investigation. This exception supersedes any previously or subsequently established destruction schedule for those records. If you believe this exception may apply, please obtain advice by contacting the CCO before proceeding with a course of action.

C. GENERAL GUIDELINES

EnCap has established retention or destruction policies or schedules for specific categories or records in order to ensure legal compliance, and also to accomplish other objectives, such as preserving intellectual property and cost management. Several categories of documents that

bear special consideration are identified below. While minimum retention periods are suggested, the retention of the documents identified below and of documents not included in the identified categories should be determined primarily by the application of general guidelines affecting document retention identified above, as well as any other pertinent factors.

1. **Track Record and Company History:** Development of documents supporting EnCap's track record and Company history should be maintained over the life of Company.
2. **Corporate and Fund Accounting and Tax Records:** Accounting and tax records include, but may not be limited to, general ledgers, bank statements, documents concerning wire transfers, expenses, proof of deductions, business costs, accounting procedures, payroll and other documents concerning EnCap and Fund related operations. Accounting and tax records should be retained for at least 10 years from the date of filing the applicable return.
3. **Formation Documents and Fund/Portfolio Company Related Contracts:** Original formation documents, corporate minute books, purchase and sale agreements and other related corporate and Fund documents should be retained for seven years from the date of the respective entity's termination.
4. **Fund and Investor Reporting:** All Fund and investor reporting, including, but not limited to financial statements, quarterly reports, advisory board presentations, partner statements, cash calls, cash distributions, and calculations of management fees, preferred return payout, catch-up payout and clawback, if any, should be retained for seven years from the date of a Fund's termination.
5. **Employment Records/Personnel Records:** State and federal statutes require that EnCap maintain certain recruitment, employment and personnel information. This information, along with any performance reviews, should be retained for six years from the date of termination of employment with EnCap.
6. **Portfolio Company Due Diligence and Management Records:** Records including due diligence files, board materials, periodic reporting and related analysis should be kept for no less than six years from the date of termination of the portfolio company.
7. **Other Contracts:** Final, execution copies of all contracts entered into by EnCap should be retained for no less than six years beyond the life of the agreement.
8. **Marketing Materials:** Final copies of marketing documents and presentations should be retained for no less than six years.
9. **Electronic Mail:** All EnCap related email communication must utilize an EnCap email address. Use of personal or other non-EnCap email addresses for the purposes of circumventing our document retention policy is prohibited. EnCap will retain all email for six years. Email can be maintained up to three years in an Employee's inbox. Thereafter, the Employee should archive all email.
10. **Texting:** All text communication by Employees involving EnCap investment management activities must utilize the CellTrust SL2 application. Use of text communication not utilizing CellTrust SL2 or any other form of electronic communication is strictly prohibited. EnCap will retain all text communication utilizing CellTrust SL2 for six years.
11. **Documentation related to Anti-Money Laundering** is addressed in Section VI. D.

12. Documentation related to Placement Agents is addressed in Section VIII. D.

Failure to comply with this Document Retention Policy may result in punitive action against an Employee, including suspension or termination. Questions about this policy should be referred to the CCO, who is responsible for administering, enforcing and updating this policy.

VII. INVESTOR COMPLAINT POLICY

A. BACKGROUND

From time-to-time, despite its greatest efforts, EnCap may receive complaints from investors regarding EnCap's investment advisory services or related matters. EnCap will strive to respond promptly and appropriately to all such complaints and will consider whether corrective actions should be taken in order to prevent additional problems.

B. POLICIES AND PROCEDURES

Any statement transmitted orally, in a letter, by fax, by email, or otherwise, that alleges specific inappropriate conduct by EnCap is a complaint. While observations about market conditions or an account's performance may not be complaints, Employees should consult with the CCO if there is any question as to whether a communication is a complaint.

Each Employee must promptly report any complaints to the CCO. Failure to report a complaint will be cause for corrective action, up to and including dismissal. Any Employee receiving an oral complaint should document the complaint and should submit the completed written documentation when reporting the complaint.

The CCO will investigate and respond to all investor complaints in a timely manner and will retain copies of all documentation associated with each complaint. The CCO may consult with ACA and/or general counsel and/or outside counsel regarding the appropriate resolution of a complaint. Any offers of settlement, or actual settlements, may only be made with the written approval of the CCO and a Managing Partner.

VIII. ANTI-MONEY LAUNDERING POLICY

A. POLICY STATEMENT

It is the policy of EnCap to prohibit and actively prevent money laundering and any activity that facilitates money laundering or the funding of terrorist or criminal activities. Money laundering is generally defined as engaging in acts designed to conceal or disguise the true origins of criminally derived proceeds so that the unlawful proceeds appear to have derived from legitimate origins or constitute legitimate assets. Generally, money laundering occurs in three stages. Cash first enters the financial system at the “placement” stage, where the cash generated from criminal activities is converted into monetary instruments, such as money orders or traveler’s checks, or deposited into accounts at financial institutions. At the “layering” stage, the funds are transferred or moved into other accounts or other financial institutions to further separate the money from its criminal origin. At the “integration” stage, the funds are reintroduced into the economy and used to purchase legitimate assets or to fund other criminal activities or legitimate businesses. Terrorist financing may not involve the proceeds of criminal conduct, but rather an attempt to conceal the origin or intended use of the funds, which will later be used for criminal purposes.

B. AML COMPLIANCE OFFICER DESIGNATION AND DUTIES

The CCO or designee is EnCap’s Anti-Money Laundering (“AML”) Compliance Officer, with full responsibility for the EnCap’s AML program. The duties of the AML Compliance Officer will include monitoring EnCap’s compliance with AML obligations and overseeing communication and training for Employees. The AML Compliance Officer will also ensure that proper AML records are kept. When warranted, the AML Compliance Officer will ensure that a Suspicious Activity Report (“SAR”) is filed.

C. INVESTOR IDENTIFICATION AND VERIFICATION

EnCap will collect certain minimum investor identification information from each Investor in its Funds, including investor name, address, and tax identification number. Based on the risk, and to the extent reasonable and practicable, EnCap will ensure that it has a reasonable belief that EnCap has knowledge of the true identity of its investors through EnCap’s personal relationships with each investor and by using risk-based procedures to verify and document the accuracy of the information obtained about its investors. In verifying investor identity, EnCap will analyze any logical inconsistencies in the information it obtains.

EnCap understands that it is not required to take steps to determine whether the document that the investor has provided for identity verification has been validly issued and that it may rely on a government-issued identification as verification of an investor’s identity. If, however, EnCap notes that the document shows some obvious form of fraud, EnCap must consider that factor in determining whether to form a reasonable belief that it has knowledge of the investor’s true identity.

EnCap verifies and continuously monitors information provided in subscription documents received from investors (including those resulting from assignments of existing interests) after

the effective date through use of truth technologies such as World-Check One. Any results indicative of possible compliance issues is escalated to general counsel and/or outside counsel.

D. RECORDKEEPING

All recorded documentation regarding EnCap's Anti-Money Laundering Procedures will be retained on file for a time period of five years, to be made readily accessible for the most recent two years.

E. SUSPICIOUS ACTIVITIES REPORTING

Legislation in various jurisdictions requires EnCap to report suspicion of money laundering or terrorist financing, which arises in the regular course of business. Failure to report such a suspicion may result in penalties, including criminal penalties.

All Employees are required to be familiar with the anti-money laundering procedures and immediately report to the AML Compliance Officer the occurrence of any suspicious activity per the procedures set out below. In the event that an Employee receives any inquiry from a law enforcement agency, that inquiry shall immediately be referred to the AML Compliance Officer.

A suspicious activity will often be one that is inconsistent with an investor's known, legitimate activities or with the normal types of business associated with the investor.

F. PROCEDURES

If any personnel connected with EnCap suspects that a relationship is being used for money laundering or terrorist financing, they must take steps immediately to

1. notify the AML Compliance Officer;
2. submit to the AML Compliance Officer a signed, written report (an Internal Suspicious Activity Report, or "iSAR") which should include the following:
 - i. information regarding the identity of the suspected company or individual including name, address, nationality, and other verification information;
 - ii. particulars of the relationship including the amount and currency of any funds, the date and method by which they were received and the source of such funds;
 - iii. the basis for suspicion that the funds may be the proceeds of a crime; and
 - iv. all supporting documentation.

The AML Compliance Officer will take the following steps in relation to each report made to him/her:

1. Acknowledge receipt of the report and provide a reminder to those involved to avoid doing anything that might tip off the investor;
2. Review the report and the supporting documentation;

3. File a SAR with financial regulators, depending on the jurisdictions affected, when an activity raises at least reasonable grounds for suspected money laundering or terrorist financing;
4. Record the basis for any decision not to file a SAR with relevant regulators, and maintain such records in accordance with this Manual, upon the satisfaction that an activity is not suspicious or does not give rise to reasonable grounds for suspecting proceeds of crime or money laundering; and
5. Forward any iSAR related to an EnCap-managed Cayman Fund to the respective Fund's Money Laundering Reporting Officer.

If a report to a regulator is made, in order to avoid the offence of tipping off, no communication with the investor should provide any information which would disclose the fact that a report has been made, and the AML Compliance Officer should be consulted in all cases where there is any doubt as to how to proceed.

When considering the above and whether to file a SAR, the AML Compliance Officer shall have unimpeded access to all information that the AML Compliance Officer considers relevant to the effective discharge of his/her obligations as AML Compliance Officer.

G. REGISTERS

The AML Compliance Officer will keep a register of:

1. all iSARs received, including the resolution of each;
2. all SARs filed with the Financial Industry Regulatory Authority ("FINRA"); and
3. all inquiries made by regulators, including the date and nature of any inquiry.

H. TIPPING OFF

SARs and all supporting documentation are confidential. Tipping off is an offence under the Proceeds of Crime Law (2019 revision), as amended, and carries with it a monetary fine and jail term. Employees are prohibited from disclosing to anyone, including persons involved in the transaction, information in connection with a filing of a SAR. Violation of this policy will result in disciplinary action and termination of employment. In all cases of doubt, questions should be referred to the AML Compliance Officer.

I. SANCTIONS COMPLIANCE

AML Regulations require that there should be in place adequate systems to identify risk in relation to persons, countries and activities which shall include checks against all applicable sanctions lists.

Sanctions are measures adopted against a country, regime or person believed to be violating international law which may be used to bring about a change in the conduct of a particular country, regime or person, or to place pressure on a country, regime or person to comply with set objectives or act as punitive measures when international peace and security are threatened

and diplomatic efforts have failed, or to deter, prevent and suppress the financing of terrorism and terrorist act.

Sanctions include financial sanctions and usually take the form of restrictive or coercive measures which may be economic, diplomatic, or cultural, such as the freezing of funds, the withdrawal of financial services, bans or restrictions on trade, bans or restrictions on travel, and suspension from international organizations.

EnCap will ensure that its sanctions compliance program is an integral part of its overall AML compliance program, and risk assessments will take into account any sanctions that may apply.

When there is either a true match or suspicion that involves a sanctioned person or activity, the matter must be escalated to the AML Compliance Officer to take steps required to comply with the sanctions obligations. When that match or suspicion is in relation to an EnCap-managed Fund, the AML Compliance Officer will forward the details to the respective Fund's AML Compliance Officer. All actions should be documented and recorded accordingly.

J. RISK-BASED APPROACH

EnCap is required to undertake a risk assessment of all its investors using a risk-based approach according to the size, nature and complexity of its business. EnCap is also required to identify, access and document its inherent risks with regard to its offerings. This risk-based approach involves the following steps and procedures:

1. Identifying the inherent financial crime risks that are relevant to the entity.
2. Establishing EnCap's approved risk tolerance, which identifies the risks that EnCap is willing to accept or not accept. EnCap should consider whether it has sufficient capacity and expertise to effectively manage the risks that it decides to accept.
3. The collection and verification of relevant client due diligence information.
4. Periodically updating client due diligence information.
5. Carrying out a detailed risk assessment of each client, entity, and related parties, focusing on customer characteristics, customer behavior, geographic location, delivery channels and other factors. Where the risks are higher, enhanced measures to manage and mitigate those risks should be taken; where the risks are lower, simplified measures may be permitted.
6. Designing and implementing controls to manage and reduce the impact of these risks.
7. Monitoring the controls and improving their efficiency on an ongoing basis.
8. Documentation and record keeping.

K. ENHANCED DUE DILIGENCE

The AML regulations set out that enhanced due diligence shall be performed where:

1. there is a higher risk of money laundering or terrorist financing identified;

2. supervisory guidance has identified a higher risk of money laundering or terrorist financing;
3. the client is from a high-risk country;
4. the client is a politically exposed person (“PEP”) or involves a PEP; and
5. there is any unusual or suspicious activity, or reasonable grounds for suspecting money laundering.

Enhance due diligence procedures may include:

1. obtaining additional due diligence information and documents;
2. obtaining additional information on the source of funds and source of wealth from independent sources;
3. commissioning due diligence reports from independent experts; and/or
4. more frequent reviews of the business relationship.

L. CERTIFICATION

The use of a suitable certifier provides a safeguard against the risk that the due diligence documentation provided does not correspond to the customer whose identity is being verified. Independent certification is to be used where EnCap is unable to meet the client face-to-face.

Certified documents should only be accepted where it has been certified by a suitable certifier as being a true copy of the original document and that the photo is a true likeness of the relevant person.

A suitable certifier would include a notary public, advocate/lawyer, qualified accountant, a member of the judiciary, a police or customs officer, a senior officer of an embassy, consulate or high commission, or an individual who is a member of a professional body that sets and enforces ethical standards.

IX. ADVERTISING AND MARKETING POLICY

Rule 206(4)-1 under the Advisers Act (the “Marketing Rule”) addresses investment adviser advertising and marketing. The Marketing Rule includes seven general, principles-based prohibitions and also sets out requirements for certain advertising and marketing practices, including the use of testimonials, endorsements, and third-party ratings. Additionally, the Marketing Rule sets out requirements with respect to the presentation of performance returns, including the presentation of gross and net returns, certain prescribed time periods, and the use of *related performance*, *extracted performance* and *predecessor performance*, each of which is defined in the Marketing Rule and summarized below.

A. PRINCIPLES-BASED STANDARDS APPLICABLE TO ALL ADVERTISEMENTS

The Marketing Rule prohibits investment advisers from directly or indirectly disseminating any *advertisement* that:

1. Includes any untrue statement of a material fact, or omits to state a material fact necessary in order to make a statement made, in the light of the circumstances under which it was made, not misleading;
2. Includes a material statement of fact that the adviser does not have a reasonable basis for believing it will be able to substantiate upon demand by the SEC;
3. Includes information that would reasonably be likely to cause an untrue or misleading implication or inference to be drawn concerning a material fact relating to the investment adviser;
4. Discusses any potential benefits to clients or investors connected with or resulting from the investment adviser’s services or methods of operation without providing fair and balanced treatment of any material risks or material limitations associated with the potential benefits;
5. Includes a reference to specific investment advice provided by the investment adviser where such investment advice is not presented in a manner that is fair and balanced;
6. Includes or excludes performance results, or presents performance time periods, in a manner that is not fair and balanced;
7. Violates other specific restrictions pertaining to performance, as discussed below;
8. Contains a *testimonial* or *endorsement*, as defined and except for as provided below;
9. Contains a *third-party rating*, as defined and except as provided for below; or
10. Is otherwise misleading.

B. POTENTIALLY MISLEADING ADVERTISEMENTS

EnCap prohibits any misleading communications to investors or prospective investors. Even entirely factual communications may be prohibited if the overall effect of the communication is misleading. When considering whether something is misleading, Employees must use good judgment and should consider any applicable factors, including:

1. The presence or absence of explanations and disclosures, including any material facts regarding the adviser, its personnel and investment strategies, relevant market and economic conditions, and the types of assets in which its clients invest;
2. The prominence of disclosures;
3. Whether information is current, particularly with respect to performance advertisements;
4. Whether descriptions of potential gains are balanced by disclosures of risk and the potential for loss;
5. Any implications that past performance will be sustained in the future;
6. Any exaggerated or unsubstantiated claims, or the use of superlatives; and
7. The advertisement's overall context and the sophistication of the recipients.

C. PERFORMANCE DISCLOSURES

Whenever EnCap shows performance results, it must include disclosure of all material facts including but not limited to: the relevant fees charged, the possibility of loss, any material conditions, objectives, or investment strategies used, material differences between any index shown and EnCap performance, and anything else that the target investor might deem to be material. Calculations of performance must be reviewed by the CFO prior to distribution. Gross returns should not be shown without showing net returns in equal prominence without the approval of the CCO.

D. PRESENTATION OF PERFORMANCE RETURNS

The Marketing Rule prohibits certain practices with respect to the presentation of performance returns in advertisements unless the advertisement complies with the specific requirements. Specifically, the Marketing Rule includes the following prohibitions:

1. Claims with respect to SEC approval: Prohibition against including any statement, express or implied, that the calculation or presentation of performance results in the advertisement has been approved or reviewed by the SEC.
2. Related performance: Prohibition on showing related performance, unless it includes all related portfolios; provided that related performance may exclude any related portfolios if the advertised performance results are not materially higher than if all related portfolios had been included; and the exclusion of any related portfolio does not alter the presentation of any applicable prescribed time periods as described above. For this purpose, a related portfolio means a portfolio with substantially similar investment policies, objectives, and strategies as those of the services being offered in the advertisement; and related performance means the performance results of one or more related portfolios, either on a portfolio-by-portfolio basis or as a composite aggregation of all portfolios falling within stated criteria.
3. Extracted performance: Prohibition on showing extracted performance, unless the advertisement provides, or offers to provide promptly, the performance results of the

- total portfolio from which the performance was extracted. For this purpose, extracted performance means the performance results of a subset of investments extracted from a single portfolio (in contrast, performance results carved out of several different portfolios is treated as hypothetical performance and must comply with the requirements for use of hypothetical performance as summarized below).
4. Hypothetical performance: Prohibition on the use of hypothetical performance unless the investment adviser: (1) adopts and implements policies and procedures reasonably designed to ensure that the hypothetical performance is relevant to the likely financial situation and investment objectives of the intended audience of the advertisement; (2) provides sufficient information to enable the intended audience to understand the criteria used and assumptions made in calculating such hypothetical performance; and (3) provides (or, if the intended audience is an investor in a private fund, provides, or offers to provide promptly) sufficient information to enable the intended audience to understand the risks and limitations of using such hypothetical performance in making investment decisions.
 5. Predecessor performance: Prohibition on the use of predecessor performance unless: (1) the person or persons who were primarily responsible for achieving the prior performance results manage accounts at the advertising adviser; (2) the accounts managed at the predecessor investment adviser are sufficiently similar to the accounts managed at the advertising investment adviser that the performance results would provide relevant information to clients or investors; (3) all accounts that were managed in a substantially similar manner are advertised unless the exclusion of any such account would not result in materially higher performance and the exclusion of any account does not alter the presentation of any applicable prescribed time periods as described above; and (4) the advertisement clearly and prominently includes all relevant disclosures, including that the performance results were from accounts managed at another entity. For this purpose, predecessor performance means investment performance achieved by a group of investments consisting of an account or a private fund that was not advised at all times during the period shown by the investment adviser advertising the performance.
 6. Gross Performance: Prohibition on the use of gross performance, unless the advertisement also presents net performance: with at least equal prominence to, and in a format designed to facilitate comparison with, the gross performance; and calculated over the same time period, and using the same type of return and methodology, as the gross performance. For the purpose of the Marketing Rule:
 - i. Gross performance means the performance results of a portfolio (or portions of a portfolio that are included in extracted performance, if applicable) before the deduction of all fees and expenses that a client or investor has paid or would have paid in connection with the investment adviser's investment advisory services to the relevant portfolio.
 - ii. Net performance means the performance results of a portfolio (or portions of a portfolio that are included in extracted performance, if applicable) after the deduction of all fees and expenses that a client or investor has paid or would have paid in connection with the investment adviser's investment advisory services to the relevant portfolio, including, if applicable, advisory fees, advisory fees paid to underlying investment vehicles, and payments by the investment adviser for which the client or investor reimburses the investment adviser. The Marketing

Rule further clarifies that net performance: may reflect the exclusion of custodian fees paid to a bank or other third-party organization for safekeeping funds and securities; and/or if using a model fee, must reflect one of the following: the deduction of a model fee when doing so would result in performance figures that are no higher than if the actual fee had been deducted; or the deduction of a model fee that is equal to the highest fee charged to the intended audience to whom the advertisement is disseminated.

E. DOCUMENTATION OF ADVERTISED PERFORMANCE FIGURES

EnCap must retain documentation that is necessary to substantiate all advertised performance. Custodial or brokerage account statements, and any associated calculation work papers, are the preferred method for an investment adviser to substantiate advertised performance. Documentation must be retained for at least five years after an adviser stops advertising the relevant performance. For example, if an adviser stopped advertising performance from 1980 in 2005, statements and calculation work papers from 1980 should be retained through at least the end of 2010.

F. PRESS RELEASES

The CFO and the CCO should review press releases prior to release.

G. MARKETING TO CITIES, MUNICIPALITIES, AND STATES

A number of cities, municipalities, and states have adopted regulations governing marketing activities associated with public pools of money. For example, the California Political Reform Act requires individuals and entities soliciting that state's pension plans to register as lobbyists. Similarly, New York City's Administrative Code regarding the Regulation of Lobbying requires registration for individuals and entities soliciting investments from the city's pension plans. Registration requirements vary by locality, but may include limitations on gifts and entertainment, periodic reporting, and ethics training, among other things. If an Employee is unsure of the requirements for a particular public entity, they should consult the CCO.

H. MARKETING PRIVATE FUNDS

EnCap relies on a safe harbor provided by Regulation D under the Securities Act when selling its funds. Any unregistered fund relying on Regulation D must either (a) not be offered through any form of general solicitation or general advertising, or (b) only accept investors that the issuer reasonably determines are accredited investors. Failure to comply with Regulation D could violate Section 4(a)(2) of the Securities Act, which could potentially make investors eligible for an investment refund without demonstrating fraud or any other wrongful act by the issuer.

I. MARKETING PRIVATE FUNDS IN THE EU

In order to remain outside of the scope of the AIFMD, EnCap will not actively market a private fund to EU investors. However, EnCap may respond to unsolicited inquiries from prospective

investors located in the EU. EnCap must document any prospective investor's unsolicited inquiry prior to providing the prospect with information about any private fund.

J. PREPARING MARKETING MATERIALS

1. The CCO must review and approve all marketing materials prior to distribution.
2. Marketing materials that do not change from month to month, other than performance figures or professional biography updates, need not be re-approved after each update.

K. INTERACTIONS WITH THE MEDIA

Any media inquiries should be promptly forwarded to the CCO. All Employees other than the Managing Partners, must obtain pre-clearance from the CCO prior to communicating with the media. If pre-clearance is granted, Employees must adhere to the following standards:

1. Never mention or discuss the private Funds, even indirectly;
2. Be careful to avoid disclosing any non-public information, including information about Investors;
3. Do not make any false or misleading statements, or omit any material information;
4. Do not make any statements that are exaggerated, unbalanced, inflammatory, defamatory, libelous, inappropriate, unduly controversial, or that would otherwise reflect poorly on EnCap;
5. Avoid the use of superlatives such as best, worst, most, least, highest, lowest, always, and never;
6. Clearly distinguish between facts and opinions;
7. Make it clear when a personal opinion may not reflect EnCap's position;
8. Do not make forecasts about EnCap's anticipated performance;
9. Only make forecasts about economic or market trends where there is a reasonable basis for such forecasts; and
10. All discussions, including those regarding positions or investment strategies, should be balanced by descriptions of any applicable risks or drawbacks.

Testimonials, endorsements, and other considerations applicable to compensating third parties for soliciting investors testimonials and endorsements (as defined below) can be used in advertisements, subject to certain enumerated conditions that apply to all testimonials and endorsements and certain additional requirements for any testimonial or endorsement that is compensated. For the purpose of the Marketing Rule:

1. Testimonial means any statement by a current client or investor in a *private fund* advised by the investment adviser; about the client or investor's experience with the investment adviser or its supervised persons; that directly or indirectly solicits any current or prospective client or investor to be a client of, or an investor in a *private fund* advised by, the investment adviser; or that refers any current or prospective client or

investor to be a client of, or an investor in a *private fund* advised by, the investment adviser.

2. *Endorsement* means any statement by a person other than a current client or investor in a *private fund* advised by the investment adviser that: indicates approval, support, or recommendation of the investment adviser or its supervised persons or describes that person's experience with the investment adviser or its supervised persons; directly or indirectly solicits any current or prospective client or investor to be a client of, or an investor in a *private fund* advised by, the investment adviser; or refers any current or prospective client or investor to be a client of, or an investor in a *private fund* advised by, the investment adviser.

The Marketing Rule states that an *advertisement* may not include any *testimonial* or *endorsement*, whether compensated or uncompensated, unless the investment adviser complies with the following conditions:

1. The investment adviser discloses, or reasonably believes that the person giving the *testimonial* or *endorsement* discloses, the following at the time the *testimonial* or *endorsement* is disseminated:
 - i. Clearly and prominently: (i.e., together with, and at least as prominently as, the relevant *testimonial* or *endorsement*): (1) that the statement was given by a current client or investor, in the case of a *testimonial*, or by a person other than a current client or investor, in the case of an *endorsement*; (2) that cash or non-cash compensation was provided for the *testimonial* or *endorsement*, if applicable; and (3) a brief statement of any material conflicts of interest on the part of the person giving the *testimonial* or *endorsement* resulting from the investment adviser's relationship with such person;
 - ii. The following, although they need not be clear and prominent:
 - a. The material terms of any compensation arrangement, including a description of the compensation provided or to be provided, directly or indirectly, to the person for the *testimonial* or *endorsement*; and
 - b. A description of any material conflicts of interest on the part of the person giving the *testimonial* or *endorsement* resulting from the investment adviser's relationship with such person and/or any compensation arrangement.
2. The investment adviser must have a reasonable basis for believing that the *testimonial* or *endorsement* complies with the requirements of the Marketing Rule.

For compensated *testimonials* and *endorsements*, the following additional conditions must be met:

1. The investment adviser must have a written agreement with any person giving a *testimonial* or *endorsement* that describes the scope of the agreed-upon activities and the terms of compensation for those activities.

2. An investment adviser may not compensate a person, directly or indirectly, for a *testimonial* or *endorsement* if the adviser knows, or in the exercise of reasonable care should know, that the person giving the *testimonial* or *endorsement* is an *ineligible person* at the time the *testimonial* or *endorsement* is disseminated.

For the purpose of the Marketing Rule:

1. An *ineligible person* means a person who is subject to a *disqualifying SEC action* or is subject to any *disqualifying event*, and the following persons with respect to the *ineligible person*: any employee, officer, or director of the *ineligible person* and any other individuals with similar status or functions within the scope of association with the *ineligible person*; if the ineligible person is a partnership, all general partners; and if the ineligible person is a limited liability company managed by elected managers, all elected managers.
2. A *disqualifying SEC action* means an SEC opinion or order barring, suspending, or prohibiting the person from acting in any capacity under the federal securities laws.
3. A *disqualifying event* is any event listed in paragraph (e)(4) of the Marketing Rule that occurred within 10 years prior to an applicable person disseminating an *endorsement* or *testimonial*. Although paragraph (e)(4) also sets out exceptions in which an otherwise *disqualifying event* may be disregarded as such, such exceptions are likely to be rare and are not summarized herein.

L. THIRD-PARTY RATINGS

An advertisement may not include any *third-party rating*, unless EnCap:

1. Has a reasonable basis for believing that any questionnaire or survey used in the preparation of the *third-party rating* is structured to make it equally easy for a participant to provide favorable and unfavorable responses, and is not designed or prepared to produce any predetermined result; and
2. Clearly and prominently discloses, or EnCap reasonably believes that the *third-party rating* clearly and prominently discloses: (1) the date on which the rating was given and the period of time upon which the rating was based; (2) the identity of the third party that created and tabulated the rating; and (3) if applicable, that compensation has been provided directly or indirectly by the adviser in connection with obtaining or using the *third-party rating*.

For the purpose of the Marketing Rule, a *third-party rating* is a rating or ranking of an investment adviser provided by a person who is not a related person, and such person provides such ratings or rankings in the ordinary course of its business.

***M. COMPENSATING THIRD PARTIES FOR TESTIMONIALS AND ENDORSEMENTS;
SOLICITATION ARRANGEMENTS***

EnCap will seek to comply with the Marketing Rule when it provides compensation to any third party for any *testimonial or endorsement*.

Employees are prohibited from offering or providing any compensation to a third party to solicit or refer clients or investors or otherwise provide a *testimonial or endorsement* of EnCap or its personnel unless they have obtained prior written approval from the CCO.

X. PLACEMENT AGENT POLICY

A. POLICY STATEMENT

This Placement Agent Policy sets forth the specific disclosure and other requirements with respect to placement agents engaged by EnCap. Our investors require such a policy to ensure that their investment decisions are made based solely on the merits of each investment recommendation after all necessary due diligence and in conformity with fiduciary standards and applicable laws. EnCap recognizes that our investors' independent investment decisions and recommendations must be free of impropriety or improper influence and the appearance of either.

B. DISCLOSURE GUIDELINES

In cases where EnCap engages a placement agent or any other third-party marketer to market a fund, EnCap will disclose the name and limited scope of the engagement in the private placement memorandum ("PPM") and any written supplement thereto distributed to potential investors. In addition, EnCap will provide the following information to potential investors upon request:

1. A detailed description of the services to be performed and provided by the placement agent and scope of the engagement;
2. A summary of the terms of the agreement, including the nature, timing and value of such fee arrangement; and
3. Such other disclosures that may be necessary as detailed in Other Requirements below.

C. OTHER REQUIREMENTS

Other requirements with respect to engagement of placement agents or any other third-party marketers include the following:

1. No cost will be borne by our investors with respect to any placement fees or other compensation paid by EnCap to placement agents or any other third-party marketers.
2. The placement agent must be registered with either the SEC or the FINRA and sharing of such fees with a non-registered person or entity is not permitted.
3. The placement agent must provide EnCap with a resume for each officer, partner or principal of the placement agent. The placement agent must disclose to EnCap whether any such person is a current or former employee, investment advisory committee member or consultant, or a member of the immediate family of any such person associated with all targeted/potential investors.
4. The placement agent must fully disclose to EnCap any political contributions at the local or state levels made by the placement agent and/or its affiliates during the preceding three-year period. If applicable to a potential investor, EnCap will disclose such contributions to potential investors upon request.

5. The placement agent must fully disclose to EnCap any payments made by the placement agent and/or its affiliates to registered lobbyists at the state or federal levels during the preceding three year period. If applicable to a potential investor, EnCap will disclose such payments to potential investors upon request.
6. The placement agent must fully disclose to EnCap any business dealings involving the placement agent and/or its affiliates that have been the subject of any actions or investigations by any federal, state or local government agencies or regulatory bodies with any potential investors during the preceding 10-year period and/or anticipates being the subject of such actions or investigations. If applicable to a potential investor, EnCap will disclose such situations to potential investors upon request.

D. ENCAP REPORTING AND RECORD KEEPING

EnCap will complete disclosure forms as required by potential investors in accordance with their stated guidelines. All documentation regarding EnCap's Placement Agent Policy will be maintained on file for a time period of six years. All records will be maintained at EnCap's principal office located at 9651 Katy Freeway, Suite 600, Houston, Texas 77024.

XI. ENVIRONMENTAL, SOCIAL AND CORPORATE GOVERNANCE

EnCap has a long history of responsible investment practices that are rooted in the way it has conducted business for over 30 years. EnCap is guided by its fiduciary duty to its 350-plus investors, which includes public educator retirement plans, university endowments, insurance companies, healthcare systems, private sector pensions, and others. EnCap fundamentally believes that ESG is about doing the right thing, and sound ESG practices allow EnCap to build resilient businesses and create long-term value for its investors. EnCap recognizes that ESG standards are continuing to evolve, and is committed to staying abreast of these changes in order to deliver enhanced financial and ESG performance.

EnCap's commitment to integrating ESG begins with a strong foundation in governance. The Managing Partners have ultimate oversight over EnCap's responsible investing efforts and set the tone for the way EnCap conducts its business. They work directly with EnCap's Head of ESG, who is responsible for enhancing and executing EnCap's ESG program across the Company and its portfolio companies. The Head of ESG works closely with all functional departments, including deal teams and portfolio companies, accounting, compliance, tax, HR, IT, and investor relations. In addition, EnCap partners with an ESG consultant to assist with data collection and reporting. The sustainability report as well as other public statements made about ESG are reviewed by the CFO and the CCO.

Risk management is a core tenet of EnCap's investing philosophy. Typically, EnCap controls the boards of its portfolio companies, allowing for significant influence on key matters including capital spending and strategy, as well as ESG. EnCap's portfolio companies are expected to discuss financial, operational, and material ESG updates at board meetings. Additionally, portfolio companies complete an annual ESG questionnaire to track and measure metrics. EnCap communicates its ESG progress in an annual sustainability report for investors.

EnCap's ESG Policy is provided in a separate document outside of this Compliance Manual.

XII. MANAGING FUND PORTFOLIOS

A. INVESTMENT RECOMMENDATIONS

As a fiduciary, the Company's investment personnel have an obligation to provide only suitable recommendations to the Funds, pursuant to the Company's investment mandate as outlined in each Fund's respective PPM (or other similar disclosure memorandum provided to investors) or limited partnership agreement ("LPA"). The Company's investment personnel also have a fiduciary duty to conduct reasonable due diligence with respect to any investment that is acquired for the Funds. This duty generally increases with the complexity and uniqueness of the investment. The Company fulfils this duty through the diligence of the Company's investment professionals who research potential investments and markets and, where necessary, engage in negotiations regarding the terms of investments.

B. ADHERENCE TO INVESTMENT OBJECTIVES

As a fiduciary in exercising investment discretion with respect to the Funds, the Company is obligated to make investments that are consistent with a Fund's investment objectives. The Company has provided to each investor its offering documents for a Fund, which describe such Fund's investment objectives.

The Company will focus on providing growth capital to management teams to build going concern businesses typically over a three- to five-year time frame with a portfolio of operating assets that generate long-term, recurring cash flow and a robust pipeline of future development projects for continued growth that will be highly attractive to a buyer.

The Company generally seeks to invest in portfolio companies that target operations in the U.S. where the portfolio company management teams have existing market knowledge and track records of building successful businesses.

C. INVESTMENT PROCESS

The Company seeks to employ a disciplined and rigorous process to identify and assess any potential investment opportunity. All investment opportunities that are being considered are discussed with and approved by the relevant Investment Committee before the investment is funded.

EnCap's value creation strategy is predicated on identifying and attracting high-quality management teams. The Company's investment professionals will be responsible for the origination of investment opportunities and expect the Funds to benefit from significant proprietary deal flow. The Company's investment professionals have developed extensive industry relationships and believe that this will translate to the ability to identify and attract superior industry talent and investment opportunities. EnCap believes that the management teams of portfolio companies will generally result from two scenarios: (i) a fully-formed or near fully-formed team that is known by the Company and is ready to pursue a particular strategy based on an established investment thesis, or (ii) a situation where the Company identifies a specific market opportunity and leverages their network of contacts to efficiently recruit and assemble a team with the relevant skills and experience to pursue that strategy.

Prospective management teams will be rigorously evaluated against a number of criteria, including:

1. A demonstrable track record of value creation in the targeted geographic market;
2. A high level of technical and operational competency;
3. A respected reputation with industries peers and a proven record of integrity;
4. A compelling business plan and value creation strategy consistent with their past experience;
5. Strong industry contacts and an ability to generate, identify, and capture new opportunities;
6. The ability to adhere to best industry practices regarding environmental, health, and safety issues;
7. Managerial and leadership skills, strategic vision, and adaptability;
8. A shared view of risk management and potential exit paths;
9. Receptiveness to a “partnership” relationship;
10. Team relationships based upon past interaction from working together; and
11. Alignment with EnCap’s commitment to diversity and inclusion in hiring, and a focus on constant improvement in environmental, social and governance (“ESG”) metrics.

The Company’s investment professionals oversee each diligence effort, including, but not limited to conducting due diligence on the risks, business, financial well-being, and management team of each prospective portfolio company as applicable. The Company seeks to ensure alignment between potential investment opportunities and the Company’s established investment thesis and to leverage all relevant operating and investment experience. During the due diligence process, the professionals involved in the diligence effort shall keep records of their diligence activities.

After evaluating a potential new management team, investment professionals will prepare a preliminary investment memorandum recommending whether the investment should be pursued. Such report will encompass a review of the prospective management team’s background, experience and track record, business plan and strategy for value creation, geographic areas that are central to the business plan, analysis of identified risk factors, and a summary of initial discussions regarding terms. As the process evolves and prior to closing, the due diligence effort will include thorough reference and background checks, further scrutiny of the business plan, and a more detailed asset evaluation and environmental assessment (if applicable).

Once the due diligence process is complete, the investment team will, in a series of meetings, present the prospective commitment to the relevant Investment Committee. The relevant Investment Committee by Fund commitment is as follows:

1. **Upstream Fund** commitments are approved by a majority of the Managing Partners (Miller, Petersen, Phillips, Zorich, Swanson and DeLorenzo) based on firm ownership.

2. **Midstream Fund** commitments for Funds I, II and III are approved by a majority of a seven-person board consisting of four Managing Partners designated by EnCap and three Managing Partners designated by Flatrock
3. **Midstream Fund** commitments for Fund IV are approved by a majority of a seven-person board consisting of three Managing Partners designated by EnCap and four Managing Partners designated by Flatrock.
4. **Energy Transition Fund** commitments are approved by a majority of a three-person board consisting of two Managing Partners designated by EnCap and one Managing Partner designated by Energy Transition.

Entering into a commitment requires majority approval of the relevant Investment Committee. The final approval package is submitted to the Investment Committee prior to the execution of the deal and includes various attachments pertinent to the execution of the deal. A commitment approval sheet including the signatures of the applicable Investment Committee members as identified above is required. At least 12 days prior to a funding date (capital call), a cash call memorandum is signed by at least one Managing Partner and the senior investment staff personnel responsible for the execution of the deal, which is then submitted to the CFO and Controller. Signatures for approval are required for all capital calls regardless of the dollar amount.

Once the Investment Committee approves and EnCap makes the commitment, EnCap will typically control the board of managers or any other similar governing body of the portfolio company. The Company's investment professionals will work in partnership with the management team to formulate strategy regarding capital deployment, capital allocation, balance sheet construction, hedging policies, and exit alternatives. Whether the opportunity is centered on an acquisition, a greenfield development opportunity, or other business, the Company's investment professionals will heavily focus on managing risk to ensure capital preservation. In addition, the board of each portfolio company will have a hands-on approach to monitoring investments to ensure that the portfolio company's strategies fit the current economic environment and to take advantage of any market and industry inefficiencies. Each portfolio company is required to report material matters to its board and host quarterly board meetings.

Throughout the investment process, EnCap and the management team will continually work together with an exit strategy in mind to position the investment as an attractive opportunity for potential buyers. Once the management team has built an established position with upside opportunities, EnCap and the management team will proactively look to position the portfolio company as a strategic target for a buyer. This process typically involves a detailed understanding of the buyer market and will generally include engaging an investment bank to conduct the most comprehensive marketing process. EnCap will ultimately look to monetize each portfolio company based on its targeted return threshold. In instances where market conditions are suboptimal for monetization, EnCap will continue to build the asset base opportunistically and make operating distributions as deemed appropriate. The asset base may be held until a more favorable environment arises, or consideration may be given to pivoting the strategy or discontinuing the pursuit of a particular strategy.

D. OTHER TRANSACTIONS

In the event of other transactions such as a disposition or significant acquisition by a portfolio company, a memorandum is prepared by the investment professionals and majority approval is required by the relevant Investment Committee prior to the occurrence of such action.

E. INVESTMENT MONITORING CONTROLS

Managing Partners and partners are supported by senior investment staff who have the depth of experience necessary to ensure that transactions are consistent with EnCap's policies.

Each EnCap partner and senior investment staff is responsible for the following:

1. Monitoring the day-to-day operations of portfolio companies;
2. Preparing investment memoranda related to any significant portfolio company events;
3. Actively participating in and voting at board meetings; and
4. Assisting with quarterly portfolio company valuations.

Weekly meetings are generally held on Mondays involving all partners, investment staff and primary back office personnel to discuss significant portfolio company activities.

On a monthly basis, the CFO prepares the Investment Status Report for each of the Funds and distributes to all partners, investment staff and back office staff. This analysis reflects all investment activity (e.g., commitments, investments, distributions, dividends, and interest income) and is reviewed by all staff. Any noted exceptions are reported directly to the CFO.

F. BOARD OF DIRECTOR COMPENSATION

For certain public companies whose shares are owned by the Funds, an EnCap partner or Employee may sit on the board and receive remuneration (cash and/or shares). The partner or Employee who receives such remuneration is responsible for returning it to the Fund (net of tax). Such income to the Funds would not be considered a return of capital but rather fee income. Once tax liabilities are determined for the remuneration, the Fund will be responsible for reimbursing taxes owed to the partner or Employee.

G. ALLOCATION OF INVESTMENT OPPORTUNITIES

The Company's policy is to allocate investment opportunities in a manner that is consistent with its fiduciary obligations and, accordingly, to allocate investment opportunities fairly and equitably among the Funds, where and to the extent applicable, such that no Fund will be systematically disadvantaged over time. The proper method of allocating investment opportunities can be complex and requires careful evaluation and application. A number of factors generally may be considered when multiple Funds are capable of purchasing or selling a particular security or other investment product based on their respective investment objectives, including, without limitations, the amount of available cash, the impact that any such transaction may have on an existing portfolio's diversification, risk and volatility characteristics,

existing investments, liquidity, contractual commitments or regulatory obligations and other similar considerations.

H. ALLOCATION OF CAPITAL COMMITMENTS BETWEEN FUNDS (IN THE SAME SERIES)

New commitments to new management teams are made into an upstream, midstream or energy transition Fund during their respective Commitment Periods.

After the close of a Fund's Commitment Period, a new commitment can be made to a repeat team within that Fund if that Fund has excess commitment available. If no excess Fund commitment exists, the new commitment to that repeat team will be made by the subsequent Fund in its Commitment Period.

Toward the end of the Commitment Period of an existing Fund (once greater than 75% committed), EnCap will begin to raise a new Fund. To manage the overall commitment level between Funds, joint participation may be offered to the current Fund and the new Fund in a new commitment to a portfolio company. In cases where the new Fund is not yet closed, the existing Fund will fund the initial capital requirements under the portfolio company commitment, and the new Fund will reimburse its share of the investment to the existing Fund after its closing, plus a reasonable return (generally 8%). All shared commitments between Funds must be approved by the respective Advisory Board of each Fund.

In certain cases, an existing Fund may become over committed due to commitment expansions required to manage its existing portfolio companies. In such cases, part of an existing commitment in a portfolio company or expansion thereof may be offered to a subsequent Fund in its Commitment Period. In either case, joint participation by two Funds in a portfolio company must be approved by the respective Advisory Board of each Fund.

I. ALLOCATION OF CAPITAL COMMITMENTS AMONG CO-INVESTORS

If sufficient commitment capacity is not available through existing or new Funds in the same series or due to concentration concerns, a Fund can offer up a portion of the commitment to a portfolio company for co-investment by limited partners. Such co-investment opportunities are at the sole discretion of the general partner of the Fund.

All such co-investment opportunities must be consistent with the Company's fiduciary duty to the Funds and subject to the restrictions contained in the governing documents of the relevant Fund, and any side letter agreements or other negotiated terms with respect to such Fund. The terms of any such co-investment, including the fees and carried interest, if any, will be negotiated by EnCap and the potential co-investor on a case-by-case basis. Any such co-investment in the same securities as those in which a Fund invests shall be at the same price as that paid by the Fund.

In exercising the Company's discretion to decide how to allocate investment opportunities with respect to co-investment parties, the Company may consider certain factors, which may include, but are not limited to, one or more of the following:

1. Each Fund's investment objectives and investment focus;

2. Transaction sourcing;
3. Each Fund's liquidity and reserves;
4. Each Fund's diversification;
5. Lender covenants and other limitations;
6. Any "ramp-up" period of a newly established Fund;
7. Amount of capital available for investment by each Fund as well as each Fund's projected future capacity for investment;
8. Estimated future capital needs of the portfolio company;
9. The nature and size of a portfolio company;
10. The life cycle of a Fund (and any desire of the Company to use the remaining available capital for the older of the Funds first);
11. Each Fund's investment period;
12. Each Fund's targeted rate of return;
13. Stage of development of the prospective portfolio company or other investment and anticipated holding period of the portfolio company;
14. Composition of each Fund's portfolio;
15. Whether a Fund has an existing investment in the portfolio company and suitability as a follow-on investment for a current portfolio company of a Fund;
16. The availability of other suitable investments for each Fund;
17. Supply or demand of an investment opportunity at a given price level;
18. Risk considerations;
19. Cash flow considerations;
20. Asset class restrictions;
21. Industry and other allocation targets;
22. Minimum and maximum investment size requirements;
23. Tax implications;
24. Legal, contractual, or regulatory constraints; and
25. Any other relevant limitations imposed by or conditions set forth in the Advisory Agreements of each Fund.

The CCO and any designee shall monitor the allocation of co-investment opportunities and identify potential conflicts. If conflicts are identified, the CCO shall oversee the consideration of appropriate disclosure to existing and potential investors, and shall have authority to administer any controls put in place in an effort to mitigate such conflicts.

J. APPROVAL OF TRANSACTIONS BETWEEN MIDSTREAM, UPSTREAM AND ENERGY TRANSITION FUND COMPANIES

During the normal course of business, an EnCap Flatrock midstream portfolio company may enter into an operating related transaction with an EnCap upstream/energy transition portfolio company. All such transactions are to be conducted at arms-length through a competitive bidding process between the respective management teams, with EnCap and Flatrock members abstaining from the negotiation process. If the midstream portfolio company is entering into an operating related agreement (e.g., transportation, processing) with no economic ownership held by the respective upstream company, the transaction will require approval only from the related midstream Fund Advisory Board. If the upstream/energy transition portfolio company is entering into a transaction with economic ownership (i.e., joint venture) alongside the midstream company, approval may be required from both the related midstream and upstream/energy transition Fund Advisory Boards. The related Fund LPAs should be reviewed to determine required approvals.

K. ADVISORY CONTRACTS

Section 205 of the Advisers Act contains provisions that regulate the contents of an investment advisory contract. These provisions impose various requirements related to investment advisory contracts and its associated fees. In addition, the SEC staff has interpreted the antifraud provisions of the Advisers Act as requiring or prohibiting certain clauses in advisory contracts. The Company shall not enter into, extend or renew any investment advisory contract with a Fund or investor, if such contract:

1. Provides for performance-based compensation, unless the other party meets certain qualifications;
2. Fails to provide that no assignment of such contract shall be made by the Company without the consent of the other party to the contract;
3. Contains any condition, stipulation or provision binding a Fund to waive compliance with any provision of the Advisers Act; or
4. Contains a hedge clause that misleads the other party into believing that it has waived a right of action (i.e., a provision waiving a claim based on “gross negligence” or “willful malfeasance” without also indicating that such other party has not waived or limited any rights under federal securities laws or relevant state laws).

L. PERFORMANCE-BASED FEES

Section 205(a)(1) of the Advisers Act and related Rule 205-3 impose restrictions on the ability to charge performance-based fees defined generally as compensation based on a share of capital gains or capital appreciation of the assets of a client. These fees are charged only to specified types of Qualified Clients, defined by Rule 205-3 as:

1. A natural person who or a company that immediately after entering into the contract has at least \$1,100,000 under the management of the investment adviser;

2. A natural person who or a company that the investment adviser entering into the contract (and any person acting on his behalf) reasonably believes, immediately prior to entering into the contract, either:
 - i. Has a net worth (together, in the case of a natural person, with assets held jointly with a spouse) of more than \$2,200,000 (excluding the value of the primary residence) at the time the contract is entered into; or
 - ii. Is a “Qualified Purchaser” as defined in section 2(a)(51)(A) of the Investment Company Act of 1940 at the time the contract is entered into; or
3. A natural person who immediately prior to entering into the contract is:
 - i. An executive officer, director, trustee, general partner, or person serving in a similar capacity, of the investment adviser; or
 - ii. An Employee of the investment adviser (other than an Employee performing solely clerical, secretarial or administrative functions with regard to the investment adviser) who, in connection with his or her regular functions or duties, participates in the investment activities of such investment adviser, provided that such Employee has been performing such functions and duties for or on behalf of the investment adviser or substantially similar functions or duties for or on behalf of another company for at least 12 months (also known as the “Knowledgeable Employee” standard).

In order to ensure that EnCap properly charges a performance-based fee, the Company requires each investor in such Fund to (i) complete a subscription agreement that elicits sufficient information; and (ii) make other representations within the subscription agreement to enable the Company to conclude that the investor may be charged a performance-based fee. Any questions with regard to whether a particular investor satisfies the requirements for charging a performance-based fee should be directed to the CCO. The CCO is also responsible for ensuring that the Company’s Form ADV reflects the fact that performance-based fees are charged as applicable.

M. PRINCIPAL AND CROSS TRANSACTIONS

Section 206(3) of the Advisers Act generally prohibits an investment adviser from knowingly purchasing any security or interest from a fund or selling any security or interest to a fund out of its own inventory (or that of an affiliate) (a “Principal Transaction”). It is the Company’s policy not to engage in such transactions. In the event that EnCap decides to engage in a principal transaction, it will disclose to investors the material terms of the transaction, including, but not limited to, its capacity as principal, the cost to EnCap of the security in the case of a sale to a Fund or the price of the security in a resale in the case of a purchase from a Fund, and the best price at which the transaction could have been effected by or for the Fund elsewhere if different than the price obtained in the transaction. Documentation of such disclosure will be retained by the CFO. Prior to effecting any principal transaction, EnCap must receive approval from the investors of the Fund or the Advisory Board as applicable.

A “Cross Transaction” may occur when an adviser effects a transaction between two Funds, one a buyer and the other a seller. Pursuant to Section 206(3) of the Advisers Act, such transactions are permitted if the adviser receives no compensation in connection therewith other than its

advisory fee. It is the Company's policy not to engage in such transactions if they are not in compliance with the Advisers Act.

XIII. CUSTODY AND SAFEGUARDING OF FUND ASSETS

A. GENERAL

Rule 206(4)-2 under the Advisers Act (the “Custody Rule”) imposes specific conditions on advisors who have actual or “constructive” custody of assets, which, for purposes of the Advisers Act, generally means access to client assets without the necessity of obtaining client approval. The Custody Rule contains a definition of the term “custody” which includes “holding, directly, or indirectly, client funds, or securities, or having any authority to obtain possession of them.” The definition also includes three non-exclusive examples of custody, including when an investment adviser acts as general partner of a limited partnership, managing member of a limited liability company or a comparable position for another type of pooled investment vehicle that gives the adviser legal ownership of or access to client funds or securities. Based on the Company’s control of Fund assets and the fact that the Company or an affiliate of the Company acts as general partner to the Funds, the Company believes it would generally be viewed by regulators as having custody of the assets of each Fund for which the Company or an affiliate of the Company serves as general partner or managing member, and must meet the applicable conditions of the Custody Rule.

B. REPORTING

The Custody Rule requires an investment adviser to pooled investment vehicles to (1) obtain an audit of all Funds by an independent public accountant that is registered with and subject to inspection by the Public Company Accounting Oversight Board; and (2) deliver audited Fund financial statements, prepared in accordance with generally accepted accounting principles (“GAAP”), to all limited partners (or other beneficial owners) of the Funds within 120 days of the investment adviser’s fiscal year-end. The Company will therefore obtain such an audit and deliver audited financial statements to all limited partners (or other beneficial owners) of such pooled investment vehicles within 120 days of the Funds’ fiscal year-end. The CFO will be responsible for arranging for the annual audits of the Funds and for obtaining audited financial statements that meet applicable requirements. The CFO will be responsible for ensuring that audited financial statements are distributed to investors on an annual basis.

C. QUALIFIED CUSTODIANS

All Fund securities, other than “privately offered securities,” will be held with at least one qualified custodian pursuant to the Custody Rule. A privately offered security is a security that is (i) acquired from the issuer in a transaction, or chain of transactions, not involving any public offering; and (ii) transferable only with the prior consent of the issuer or holders of the outstanding securities of the issuer.

The CFO will review any proposed arrangements with potential new Funds or special purpose vehicles to determine whether the Company will be deemed to have custody under the Custody Rule and will ensure that the funds and securities of the new Fund are maintained in compliance with the Custody Rule.

The CFO will periodically review EnCap' controls regarding the safekeeping of Fund assets. Any questions regarding the application of these requirements or the Company's obligations under the Custody Rule should be addressed to the CFO.

XIV. PROXY VOTING POLICY

A. GENERAL

Rule 206(4)-6 under the Advisers Act requires an advisor that exercises proxy voting authority with respect to client securities to:

1. Adopt and implement written policies and procedures reasonably designed to ensure that the adviser votes client securities in the clients' best interests. Such policies and procedures must address the manner in which the adviser will resolve material conflicts of interest that can arise during the proxy voting process;
2. Disclose to clients how they may obtain information from the adviser about how the adviser voted with respect to their securities; and
3. Describe to clients the adviser's proxy voting policies and procedures and, upon request, furnish a copy of the policies and procedures.

Additionally, paragraph (c)(2) of Rule 204-2 imposes additional recordkeeping requirements on investment advisers that execute proxy voting authority, as described in the Maintenance of Books and Records section of this Manual.

B. PROXY VOTING PROCEDURES

Proxies are assets of EnCap's clients that must be voted with diligence, care, and loyalty. EnCap typically invests in private assets that typically do not issue proxies. However, EnCap may occasionally receive proxies in connection with any publicly-traded portfolio assets. The Company's investment staff are responsible for ensuring all proxies are voted in a timely manner.

When applicable, EnCap will vote each proxy in accordance with its fiduciary duty to its clients. EnCap will generally seek to vote proxies in a way that maximizes the value of the Funds' assets (and complies with any requirements of the purchase sale agreement that resulted in the ownership of the stock). EnCap may abstain from voting if it deems that abstaining is in its clients' best interests. Any attempt to influence the proxy voting process by others not identified in these policies and procedures should be promptly reported to the CFO and CCO. As such, any attempt by a Fund Investor to influence proxy voting should be promptly reported to the CFO and CCO.

1. The relevant deal professionals shall review all proxies, including proxies for which EnCap may abstain, and coordinate EnCap's proxy voting process. EnCap Employees must notify the CFO and CCO if they are aware of any material conflict of interest associated with a proxy vote. Any conflicts involving the CFO or CCO should be reported to an EnCap Managing Partner. If EnCap detects a material conflict of interest in connection with a proxy solicitation, EnCap will abide by the following procedures:
 - i. EnCap may engage general counsel and/or outside counsel and/or the relevant Fund's Advisory Board to review the material conflict of interest and make a recommendation. The CFO will be responsible for ensuring that the proxy vote

under consideration and identified conflict of interest are communicated to general counsel and/or outside counsel and/or the relevant Fund's Advisory Board in a timely manner.

2. The CFO will retain documentation of general counsel's and/or outside counsel's and/or the relevant Fund's Advisory Board's recommendation(s) and will ensure that EnCap votes the proxy in accordance with such recommendation(s), as applicable.
3. EnCap will not neglect its proxy voting responsibilities, but EnCap may abstain from voting if it deems that abstinence is in the Funds' best interests. The CFO will ensure that EnCap maintains documentation describing the rationale for any instance in which EnCap does not vote a Fund's proxy.

XV. TRADING & BEST EXECUTION POLICY

A. BEST EXECUTION POLICY

As part of its fiduciary duty to clients, EnCap has an obligation to seek the best price and execution of client transactions when EnCap is in a position to direct brokerage transactions. EnCap's advisory business generally involves privately negotiated transactions and from time to time may possess or dispose of public securities as a result of a portfolio company IPOs or subsequent sales. While not defined by statute or regulation, "best execution" generally means the execution of client trades at the best net price considering all relevant circumstances.

EnCap's investment staff will conduct the following types of reviews on an as needed basis to evaluate the qualitative and quantitative factors that influence execution quality:

1. Initial and ad-hoc reviews of individual broker-dealers;
2. Reviews by designated EnCap investment staff in charge of disposition of public securities;

Best Execution Reviews

A designated investment staff member will consider the execution price and quality of dispositions. EnCap does not intend to enter into any formal soft dollar arrangements to compensate broker-dealers for research or other benefits and hence best execution considerations are generally based on price and quality of execution. The review of such best execution services will be limited to situations as needed.

B. DISPOSITION OF PORTFOLIO COMPANY PUBLIC SECURITIES

In the event that EnCap possesses public securities as a result of a portfolio company IPO, sale, or otherwise, all such sales of such securities will be coordinated by the designed investment staff. The designed investment staff will complete the Portfolio Company Securities Trading Form, including documentation of basis for broker selection, and obtain approving signature from a Managing Partner. The designed investment staff will also coordinate with general counsel and/or outside counsel to identify necessary regulatory filings required to be made as a result of the sale and provide comments and compliance approval. Upon approval of the sale, the designated investment staff will execute the transaction with the designated broker and report the final transaction details to the CFO, CCO, Controller, and Director of Financial Reporting.

The designated investment staff must ensure that the designated broker creates and maintains a trade ticket, either electronically or in hard copy, for each trade. Pursuant to Rule 204-2(a)(3) under the Advisers Act, the trade ticket must show:

1. The terms and conditions of the order, instruction, modification, or cancellation;
2. The person at EnCap who recommended the trade;
3. The person at EnCap who placed the trade;

4. The client account(s) for which the trade was entered;
5. If applicable, how the trade will be allocated among clients;
6. The date the trade was entered;
7. The broker-dealer or bank with which the trade was placed; and
8. Whether the order was placed pursuant to EnCap's discretionary authority.

XVI. VALUATION POLICY

As a fiduciary, the Company has an obligation to accurately value the investments held by the Funds. EnCap shall act with integrity, professionalism and due regard to the fiduciary duty the Company owes to the Funds and their investors to ensure that investments are valued objectively and appropriately. GAAP requires investments to be carried at “fair value,” defined as the price that an asset could be acquired or sold in a current transaction between willing parties in which the parties each acted knowledgeably, prudently and without compulsion. Fair value should not be based on what can be obtained from an immediate “fire sale” disposition, nor on what a buyer might pay at some later time or under more favorable circumstances.

Securities that are frequently traded on public exchanges, such as large cap domestic equities, are relatively easy to price. However, the valuation of investments for which there is no readily available pricing information is a highly judgmental process, which cannot be subjected to a simple mechanistic formula. This document sets forth the investment valuation policy and related procedures to be followed to ensure that the fair market value of investments are consistently and prudently estimated by the general partner of the Fund while providing a reasonable degree of flexibility to ensure all significant facts and circumstances are considered. The Company’s valuation policy is prepared consistent with guidance provided in related partnership agreements and is compliant with ASC Topic 820: Fair Value Measurements and Disclosures.

A. VALUATION POLICIES AND PROCEDURES

In accordance with GAAP, the Funds’ investments will be carried at fair value. To the extent that a Fund holds interests in securities that are relatively liquid, valuations may be based on published market prices or on quotes from broker/dealers.

1. The General Partner shall prepare a report listing each portfolio investment, cost, cash proceeds received and an estimate of fair market value for remaining investments as of the end of each quarter.
2. The Advisory Board shall reserve the right to approve each determination of market value which is used in the apportioning of distributions among partners (EnCap has refrained from non-cash distributions in the past and does not anticipate such non-cash distributions in the future.).
3. The valuation process shall follow the following parameters:
 - i. All investments held during the initial investment period are valued at cost (which is considered market value) until such time as there is a “measurable change in fair market value” based upon the assumptions below.
 - ii. Private equity securities of entities with oil and gas producing activities – valued at the portfolio company’s net asset value considering future net revenue, discounted at a market participant weighted average cost of capital, of risked proved, possible and probable oil and gas reserves (as shown in an approved independent petroleum engineer’s reserve report and generally discounted PDP x 1.0, PDNP x 0.8, PUD x 0.6, Probable x 0.2, Possible x 0.1) as determined by applying NYMEX forward strip oil and gas prices as quoted at the end of such

period. These oil and gas values are then compared to recent public or private transactions in close proximity to the underlying reserves and adjusted where appropriate. Unevaluated oil and gas leaseholds and other assets are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

- iii. Private equity securities of entities with mineral interests – nonproducing/early stage mineral interests valued at precedent transactions or discounted cash flow if underlying third-party reserve reports are available. Mature producing mineral interests are valued using a cash flow multiple of actual trailing 12-month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- iv. Private equity securities of entities with midstream activities – valued at the portfolio company's net asset value considering three different recognized approaches: (1) discounted cash flow; (2) precedent transactions; and (3) public market comparable values. Each valuation method is weighted roughly 25-50%, but 33.3% is the usual rule of thumb. The assumptions used in the analysis are based on the following guidelines:
 - a. Contracts – recognize only value of the contracts executed as of the valuation date;
 - b. Volume – consider contracted volumes on a risk-adjusted basis, specifically:
 - Well counts to incorporate risked producer forecasts and expected management scenarios; and
 - Type curves for wells developed in conjunction with producers and/or independent advisors;
 - c. Capital expenditures – driven by contracted, risk-adjusted volume estimates (e.g., gathering, processing, fractionation, compression, required capacity expansions);
 - d. Balance sheets – used along with the three valuation methods mentioned above to calculate each portfolio company's equity value and include undeveloped land valued at cost (if acreage values are not used), bank debt, net working capital and work in progress;
 - e. Commodity prices – similar to the methodology used in the valuation of private equity securities of oil and gas producing entities one year forward flat prices (assumes next 12 months forward swap held flat for the duration of the analysis) for WTI, Henry Hub, Mt. Belvieu or Conway natural gas liquids and any applicable basis differentials are updated quarterly;
 - f. Weighted average cost of capital – likely acquirer group estimate;
 - g. Terminal value – bid-side market multiple (forward year EV/EBITDA precedent transaction analysis for applicable sector universe);
- v. Private equity securities of entities with energy transition activities – valued at the portfolio company's net asset value considering three different recognized approaches: (1) discounted cash flow; (2) precedent transactions; and (3) public

market comparable values. Each valuation method is weighted roughly 25-50%, but 33.3% is the usual rule of thumb;

- vi. Direct interests in oil and gas producing assets (e.g., NPI, ORRI) – present value of future revenue, discounted at a market participant weighted average cost of capital, of proved oil and gas reserves;
- vii. Debt or equity securities that are freely tradable on a recognized investment exchange (or convertible thereto) – valued at the last reported sales price for the security as of the valuation date;
- viii. Restricted equity securities of a portfolio company similar to securities with adequate public float and freely tradable on a recognized investment exchange – valued at 80% to 90% of the last reported sales price for the security as of the valuation date;
- ix. Loans – valued at the face amount of note plus accrued interest at the stated rate less any credit risk discounts; and
- x. Other private equity securities or quoted equity securities with limited trading volume and/or public float – valued based upon all relevant factors, including financial condition, results of portfolio company, value of underlying assets, sales prices of recent transactions in the same or similar securities, significant events affecting the subject portfolio company, and all other reasonable and customary factors affecting value.

B. DETERMINATION OF FAIR MARKET VALUE

EnCap's investment staff maintains a day-to-day working relationship with each portfolio company and are fully aware of the operating aspects of each portfolio company, including lease and seismic acquisitions, property acquisitions, exploration and development drilling activities, production rates, hedging contracts and any other activities that may impact fair market value. During the initial investment period, a portfolio company is held at cost (which is considered market value) until such time that facts and circumstances exist to support a change in fair market value from cost. Such facts and circumstances may include results from drilling and recompletion activities, change in production decline curves and impact of significant changes in oil and gas prices and operating costs.

EnCap's partners and investment staff have weekly meetings to discuss the significant activities of each portfolio company. On a quarterly basis, the partners and investment staff review the valuation status of each portfolio company. The portfolio company will continue to be held at cost (which is considered market value) if:

1. The portfolio company is proceeding in accordance with its original strategic plan;
2. No discernable change in market conditions since recent unevaluated leasehold, seismic and producing property acquisitions; and
3. Initial drilling results are pending further analysis.

Regarding portfolio companies that are marked to fair value, the investment staff reviews supporting reserve report information, related public and private market transactions and

various other valuation assumptions as discussed above to ensure that such information provides a reasonable basis of valuation for the portfolio company.

C. VALUATION WORKPAPERS

EnCap's valuation staff are responsible for overseeing the maintenance of work papers necessary to support initial and quarterly valuations of the Funds' investments. The Company will retain a record of the Valuation Committee's approval of the final valuation decisions. This approval sheet requires the signature of the CFO and a Managing Partner. The approval sheet is maintained by the valuation staff member.

DISTRIBUTIONS IN-KIND

The fair value of portfolio investments for purposes of distributions will be the value as determined by a Fund's general partner, an affiliate of the Company, in good faith and in accordance with the applicable Fund's limited partnership agreement.

D. DISCLOSURES TO INVESTORS

Information about the Company's valuation practices is included in offering materials, quarterly and annual financial statements, and quarterly Advisory Board presentations. Employees involved in the preparation of any materials describing the Company's valuation practices to current or prospective investors must ensure that the disclosures accurately reflect these valuation policies and procedures. Further, the Funds are audited on an annual basis and the resulting audited financial statements are delivered to investors no later than 120 to 135 days after the Company's fiscal year end.

XVII. TREASURY CYCLE PROCESS

The Controller's Office performs the day-to-day treasury cycle process. For a description of daily activities, application controls, system monitoring controls, and segregation of duties, refer to the Company's Controls and Procedures Manual.

XVIII. INVESTMENT CYCLE PROCESS

A. CAPITAL COMMITMENTS

All capital commitments are agreed upon by the general partner of the Fund within each limited partner's subscription agreement. If there is any change in the capital commitment amount, there is an amendment to the partnership agreement.

B. CAPITAL CALL

Capital calls for Fund investments require signature by the recommending investment team staff member, and a signature by a Managing Partner to approve is required. For larger fundings (defined as more than 50% of the capital commitment to that portfolio company), signatures of all Managing Partners (Zorich, Peterson, Phillips, Miller, Swanson and DeLorenzo) are required.

For a detailed description of the capital call process, refer to the Company's Controls and Procedures Manual.

C. CAPITAL DISTRIBUTION / INCOME ALLOCATION PROCESS

Distributions are made periodically as funds are received from portfolio companies. The decision as to when to make a cash distribution from the Funds to the limited partners is based on the current amount of distributable proceeds held in the Fund as well as any near-term proceeds expected to be received. This decision to distribute funds is made by the CFO.

For a detailed description of the capital distribution process, refer to the Company's Controls and Procedures Manual.

XIX. EXPENSE CYCLE AND ALLOCATION PROCESS

Fund operating expenses include (1) management fees and (2) other operating expenses (e.g., legal services, engineering services, and accounting services such as audit and tax return preparation).

A. MANAGEMENT FEES

Management fees are paid by a Fund to the general partner of the Fund in accordance with the partnership agreement. The management fees are calculated on a quarterly basis by the Controller and reviewed by the CFO.

The calculation of the management fee is determined by the relevant partnership agreement but is typically an annual fee equal to 1.5% of commitments during the “Initial Period.” After the expiration of the “Initial Period,” the annual fee is 1.5% of the “Base Amount,” which is typically calculated as:

1. Capital contributions made by the partners to the Fund to fund portfolio investments;
2. Less amounts distributed to the Partners to the extent such amounts constitute a return of capital; and
3. Less any amounts for a portfolio investment where the general partner of the Fund has determined that part or all of such portfolio investment will not be repaid or recouped by the Fund as determined by the CFO and approved by the Investment Committee.

For a detailed description of calculation of the management fee, refer to the Company’s Controls and Procedures Manual.

B. OTHER OPERATING EXPENSES

Other expenses are paid by EnCap on behalf of the Funds and subsequently billed to the Funds. The management company requests reimbursement for these expenses on a quarterly basis. At the end of each quarter, the Funds reimburse the management company based on EnCap’s receivable balance at the time. The management company provides the Funds with detailed support listing the individual costs which make up the quarterly reimbursement.

For a detailed description of the other operating expense process, refer to the Company’s Controls and Procedures Manual.

C. EXPENSES ASSOCIATED WITH FEES PAYABLE TO RELATED PARTIES

EnCap will strive to ensure that any fee paid or otherwise borne by a Fund to the order of any related party of EnCap is in accordance with the applicable governing document of such Fund and fully disclosed to investors. EnCap and its Employees shall be strictly prohibited from conducting any activity that would be considered an act of facilitating transactions (purchases or sales) of securities for compensation which may require broker- dealer registration. Any such proposed compensation agreements must be reviewed by the CFO prior to execution.

D. ALLOCATION OF EXPENSES ACROSS FUNDS

EnCap incurs direct, out-of-pocket costs related to the management, conduct and operation of its Funds. Each invoice that is processed is evaluated as to which entities should bear or share the cost and coded accordingly as a receivable due to EnCap. If an expense is determined to be borne by a Fund, it is further evaluated to determine whether it is an operating expense or organizational cost.

For a detailed description of the allocation of various expenses across Funds, refer to the Company's Controls and Procedures Manual.

E. SHARING OF EXPENSES ACROSS PORTFOLIO COMPANIES

From time to time, different Funds managed by EnCap may make investment commitments to different portfolio companies that have varying degrees of common management among such portfolio companies. For example, the management team of a portfolio company of one Fund may also enter into a commitment to form a different portfolio company of a different Fund.

In such circumstances, an allocation of the overhead costs associated with such common management team will need to be made between such portfolio companies (and the resulting different Funds which will bear the burden of such costs). It shall be the policy of EnCap that any such allocation of costs between portfolio companies arising as a result of common management shall be treated as an "arm's length transaction" and thus not a conflict of interest between the underlying Funds if the following criteria are met:

1. the allocation of expenses must be made on the basis of reasonable and identified financial metrics, such as relative revenues, other expenses, actual time spent by executives on behalf of the portfolio company, headcount, assets or capitalization;
2. all of such costs and expenses are substantiated by supporting documentation or other written information from the applicable management team;
3. the allocation of expenses between the portfolio companies is proposed by management and approved by the board of managers (or equivalent governing body) of each portfolio company; and
4. such allocation of expenses (including both the methodology and the amounts allocated) is subject to review and approval by each of the board of managers (or equivalent governing body) of each portfolio company.

XX. FINANCIAL REPORTING PROCESS

A. PERIOD END FINANCIAL REPORTING PROCESS

For a detailed description of the period end financial reporting process, refer to the Company's Controls and Procedures Manual.

B. RETURN OF CAPITAL CONSIDERATIONS

When portfolio companies make distributions to the Fund, it is important to make a distinction between a return of capital and a return on capital in order to properly account for the distribution.

C. DISTRIBUTION RESULTING FROM SALE OF AN ASSET

The first consideration is whether the distribution is the result of a sale of underlying assets. If the distribution is the result of a sale of assets, the relevant deal team must provide the corresponding cost basis of what was sold. That cost basis will be treated as a return of capital, and the difference between the return of capital and the distribution will be treated typically as a realized gain or loss on sale.

D. DISTRIBUTION REPRESENTING INTEREST OR DIVIDEND INCOME

Receipts of interest or dividend income would be uncommon from private company investments, but public company securities (including stock, debt, and preferred instruments) often make such distributions. These distributions would never be considered a return of capital unless it is a "liquidating dividend."

E. DISTRIBUTION RESULTING FROM OPERATIONS

If distributions are from operating income (and not from the sale of underlying assets), further work is necessary to consider whether any of the distribution is a return of capital, and, if so, how much.

Such distributions are typically from minerals companies; however, upstream companies with working interests as well as midstream and renewables companies also make such distributions from operating income.

If their current Fair Value is greater than cost, then there is no return of capital but for distributions on companies with Fair Value less than cost, the whole distribution is treated as a return of capital.

For additional details regarding return of capital considerations, refer to the Company's Controls and Procedures Manual.

F. FUND GROSS RETURN CALCULATION PROCEDURES

For a detailed description of Fund gross return calculation procedures, refer to the Company's Controls and Procedures Manual.

G. FUND NET RETURN CALCULATION PROCEDURES

For a detailed description of Fund net return calculation procedures, refer to the Company's Controls and Procedures Manual.

XXI. CLAWBACK RESERVE POLICY

A. POLICY STATEMENT

EnCap shall establish an account related to employee carried interest distributions (referred to as “Clawback Reserve Account”) to deposit all or a portion of the distributable cash otherwise distributable to such employees as determined by EnCap to be sufficient to secure the employees’ allocable share of the related Fund’s potential obligations pursuant to the related Fund partnership agreement.

B. APPLICABILITY

EnCap’s Clawback Reserve Policy applies to all non-partner Employees of EnCap that have been granted carried interest units, as well as any entity to which Employees may have assigned such carried interest units.

C. CLAWBACK RESERVE PROCEDURES

1. Prior to an employee carried interest distribution, EnCap shall determine the amount of any potential obligation for clawback in accordance with the related Fund’s partnership agreement.
2. EnCap shall determine all such amounts to be held in a Clawback Reserve Account and to be invested in short-term investments (e.g., short-term U.S. governmental securities).
3. From time to time, EnCap shall distribute amounts in such Clawback Reserve Account sufficient to discharge any federal and state income tax liabilities of employees arising from (i) distributions attributable to amounts deposited in the Clawback Reserve Account and (ii) any earnings on amounts held in such Clawback Reserve Account.
4. Upon determination by EnCap that the Clawback Reserve Account is obligated to contribute a clawback amount to the Fund, EnCap shall cause a distribution to be made from the Clawback Reserve Account in an amount not to exceed the product of (x) employees’ carried interest percentage share multiplied by (y) the clawback obligation. The amount so distributed to the Fund shall be deducted from the amount that the employees are obligated to contribute pursuant to the related Fund’s partnership agreement.
5. Promptly after EnCap determines that the Fund can no longer be entitled to any clawback amount under the related Fund’s partnership agreement, EnCap shall cause all remaining amounts in the Clawback Reserve Account to be distributed to such employees in accordance with their percentage share and related vesting schedule.

XXII. PRIVACY PROTECTION

A. GUIDING PRINCIPLES

EnCap will seek to limit its collection of Non-public Personal Information to that which is reasonably necessary for legitimate business purposes. EnCap will not disclose Non-public Personal Information except in accordance with these policies and procedures, as permitted or required by law, or as authorized in writing by the Investor. EnCap will never sell Non-public Personal Information.

With respect to Non-public Personal Information, EnCap will strive to: (a) ensure the security and confidentiality of the information; (b) protect against anticipated threats and hazards to the security and integrity of the information; and (c) protect against unauthorized access to, or improper use of, the information. The CIO is responsible for administering these policies and procedures. The CIO should be promptly notified of any threats to, or improper disclosure of, Non-public Personal Information.

Although these principles and the following procedures apply specifically to Non-public Personal Information, Employees must be careful to protect all of EnCap's proprietary information.

B. PROTECTING CONFIDENTIAL INFORMATION

Employees will maintain the confidentiality of information acquired in connection with their employment, with particular care being taken regarding Non-public Personal Information. Improper use of EnCap's proprietary information, including Non-public Personal Information, is cause for disciplinary action, up to and including termination of employment for cause, and referral to appropriate civil and criminal legal authorities.

Non-public Personal Information will be restricted to Employees who have a need to know such information.

All requests by third-parties to review this Manual, compliance testing results, correspondence between EnCap and regulators and other compliance-related documents should be forwarded to the CCO. Employees are not authorized to respond to such requests without the prior approval of the CCO.

For the avoidance of doubt, nothing in this policy prohibits Employees from reporting potential violations of federal law or regulation to any governmental agency or entity, including but not limited to the DOJ, the SEC, or any agency's inspector general, or from making other disclosures that are protected under the whistleblower provisions of federal law or regulation. Employees do not need prior authorization from their supervisor, the Management Committee, CFO, CCO, or any other person or entity affiliated with EnCap to make any such reports or disclosures, and do not need to notify EnCap or any person or entity affiliated with EnCap that they have made such reports or disclosures. Additionally, nothing in this Manual prohibits Employees from recovering an award pursuant to a whistleblower program of a government agency or entity.

C. DISCLOSURE OF NON-PUBLIC PERSONAL INFORMATION

Non-public Personal Information may only be provided to third parties under the following circumstances:

1. To broker-dealers opening brokerage accounts;
2. To accountants, lawyers, and others as directed in writing by Investors;
3. To specified family members as directed in writing by Investors, or as authorized by law;
4. To third-party service providers, as necessary to service Investor accounts, assess EnCap's compliance with industry standards, protect the confidentiality and security of EnCap's records, and to protect against or prevent actual or potential fraud, unauthorized transactions, claims, or other liability; and
5. To regulators and others, as required by law.

Employees should take reasonable precautions to confirm the identity of individuals requesting Non-public Personal Information. Employees must be careful to avoid disclosures to identity thieves, who may use certain Non-public Personal Information, such as a social security number, to convince an Employee to divulge additional information. Any contacts with suspected identity thieves must be reported promptly to the CIO.

To the extent practicable, Employees will seek to remove nonessential Non-public Personal Information from information disclosed to third parties. Social security numbers must never be included in widely distributed lists or reports.

Non-public Personal Information may be reviewed by EnCap's outside service providers, such as accountants, lawyers, consultants, and administrators. EnCap will review such service providers' privacy policies to ensure that Non-public Personal Information is not used or distributed inappropriately.

D. ACCESS TO ENCAP'S PREMISES

EnCap's premises will be locked outside of normal business hours. The CIO will review the privacy policies and procedures of third-party service providers, such as building custodians, that have access to EnCap's facilities.

Meetings with Investors should be held in conference rooms or other locations where Non-public Personal Information is not available or audible to others.

Visitors will not be left in EnCap's offices unattended.

On an annual basis, the CIO assesses whether information security risks associated with EnCap's physical offices have changed in material ways. The CIO works to address any newly identified vulnerabilities.

E. INFORMATION STORED IN HARD COPY FORMATS

EnCap has implemented the following procedures to protect Non-public Personal Information stored in hard copy formats:

1. To the extent practicable, Non-public Personal Information will be kept in lockable filing cabinets;
2. All Non-public Personal Information, as well as EnCap's proprietary information, should be locked up at the end of each workday;
3. Documents containing Non-public Personal Information must never be left unattended in public spaces, such as lobbies or conference rooms;
4. Documents being printed, copied, or faxed must not be left unattended;
5. Employees should exercise due caution when mailing or faxing documents containing Non-public Personal Information to ensure that the documents are sent to the intended recipients; and
6. Employees may only remove documents containing Non-public Personal Information from EnCap's premises for legitimate business purposes. Any documents taken off premises must be handled with appropriate care and returned as soon as practicable.

XXIII. IDENTITY THEFT PROTECTION

The SEC has adopted Regulation S-ID, the “Red Flags Rules,” that requires steps to detect, prevent, and mitigate the effects of identity theft. The Red Flags Rules require each SEC registered broker-dealer, investment company, and investment adviser that is a financial institution or creditor to periodically evaluate whether it offers or maintains any covered accounts.

A. DEFINITION OF “FINANCIAL INSTITUTION” AND “CREDITOR”

The term “financial institution” is defined to include any “person that, directly or indirectly, holds a transaction account belonging to a consumer.” A “transaction account” includes any account that allows the account holder to make withdrawals by negotiable or transferable instrument, payment orders, telephonic transfers or similar transactions for the purpose of making payments or transfers to third persons. A “consumer” is defined to include natural persons.

Examples of arrangements that could cause an investment adviser to be deemed a financial institution for purposes of the Red Flags Rules include:

1. An adviser with the ability to direct transfers or payments from one or more natural persons’ accounts to third parties, either unilaterally or upon the instructions of the natural person account owners; and
2. An adviser managing a private fund with one or more natural person investors that permit the adviser or a related person to direct the natural person’s redemption proceeds to third parties.

The term “creditor” is defined to include, among other things, any person who extends or arranges credit. A person would not be deemed to be a creditor solely because it bills for services in arrears, or because it advances funds for expenses incidental to the provision of a service. The SEC has stated that an adviser to a private fund that regularly and in the ordinary course of business lends money to permit individual investors to invest in the fund could qualify as a creditor.

B. PERIODIC ASSESSMENTS

The Red Flags Rules require each investment adviser that is a financial institution or creditor to periodically assess whether it offers or maintains any covered accounts. “Covered accounts” are defined to include:

1. An account that is primarily for personal, family or household purposes that is designed to permit multiple payments or transactions; and
2. Any other account for which there is a reasonably foreseeable risk from identity theft to natural person customers or to the safety and soundness of the adviser.

The assessment as to whether an adviser maintains any covered accounts must include evaluations of:

1. The ways in which clients and investors can access accounts; and
2. The adviser's prior experiences with identity theft.

XXIV. SECURITY POLICY (PERSONAL AND SENSITIVE DATA)

A. PURPOSE

This policy is intended to define the policy and principles adopted by EnCap to govern the processing and protection of personal data and requirements to ensure compliance with laws and regulations applicable to EnCap's collection, use, and transmission of personal data. This policy incorporates EnCap's Data Security Standards, Guidelines and Procedures Manual (Appendix 1), Security Incident Reporting and Response Plan (Appendix 2) and EnCap's Privacy Statement (Appendix 3).

Through its day-to-day operations, EnCap is required to collect and hold certain types of information about a variety of business contacts. These include: (1) investors and related service providers; (2) portfolio company contacts and related service providers; (3) current, past and prospective employees; and (4) others with whom it communicates. The purpose of this policy is to ensure that EnCap properly manages personal information and data regardless of how it collects, records or uses it, or whether the information is on paper, within a computer or recorded on other material.

B. SECURITY STRATEGY AND GOVERNANCE

Assigning Security Officer: EnCap designates the Chief Information Officer ("CIO") as the Chief Information Security Officer, who is responsible for the duties of the information security function.

Program Reporting

Annual Security Program Report: Annual reports must be submitted to EnCap management that includes information on:

1. The status of the program
2. The updated risk assessment and analysis
3. Management decisions for the level of risk mitigation and residual risk accepted
4. Service provider oversight activities and status
5. The results of testing of key controls
6. Management's response to any identified deficiencies and recommendations for program changes
7. The independent validation of the information contained in the report

Program Review and Maintenance

1. **Annual Program Updates:** The information security program must be updated and re-approved by EnCap management annually or whenever there is a material change in the organization or infrastructure.

2. Risk Assessments: The information security program must be updated, as appropriate, based on the results of EnCap's risk assessment and any risk assessment completed by a third party.
3. Change Considerations: The appropriate level of expertise must be applied to evaluate whether changes within EnCap or its infrastructure should trigger a change to the information security program. Changes that must be considered that could require an update to the information security program are the effect of changes in:
 - i. Technology
 - ii. The sensitivity of information
 - iii. The nature and extent of threats
 - iv. EnCap's business arrangements, e.g., mergers, alliances, joint ventures
 - v. Customer information systems, e.g., new configurations, new connectivity, new software

Management Responsibility and Accountability: Information security is a management responsibility, and decision-making for information security must not be delegated. While specialists and advisors play an important role in helping to make sure that controls are designed and functioning properly, and adhered to consistently, the manager in charge of the business area involved is primarily responsible for information security.

C. SCOPE

EnCap is committed to complying with the applicable data privacy and security requirements. This policy applies to all individuals and covers all aspects of EnCap's business. The policy covers all methods of holding and storing information including:

1. Manually stored paper data, including membership and personnel records
2. Computer referenced paper data, such as databases
3. Data held in computer applications and databases
4. Data held in records archive storage
5. Data held on CDs, DVDs, flash drives and other storage devices

D. DEFINITIONS OF PERSONAL AND SENSITIVE DATA

Personally identifiable information is generally defined as an individual's first name or first initial and last name, in combination with any of the following data:

1. Social security number or employer identification number
2. Driver's license number or identification card number
3. Financial account number, credit or debit card number combined with any security code, access code, PIN or password needed to access any financial accounts

4. Medical and health insurance information
5. Biometric data or fingerprints
6. A password and any of the data elements listed above, not in connection with a name, if any of the data elements alone would be sufficient to perform or attempt to perform identify theft
7. Financial account information with or without password or security code information

In many jurisdictions, certain types of data are regarded as sensitive, and require special measures to process and protect. Sensitive data includes:

1. Racial or ethnic origins
2. Political opinions
3. Religious or similar beliefs
4. Membership of trade union
5. Physical or mental health condition
6. Criminal proceedings or criminal convictions

E. DATA PROTECTION PRINCIPLES

The aim of the policy is to comply fully with accepted principles and requirements for data protection. To meet these requirements, EnCap has adopted the following principles for data protection and processing to govern the use, collection, and transfer of personal data, except as specifically provided by this policy or as required by applicable laws.

1. Fairness and Lawfulness

In processing personal data, EnCap must protect the individual rights of the data subjects and process such data fairly and in accordance with legal provisions.

2. Restriction to a Specific Purpose

EnCap may process personal data only for the purposes for which it originally collected such data. Subsequent changes to the purpose are possible only to a limited extent. Such changes may take place by virtue of a contractual agreement with the data subject, consent given by the data subject, or pursuant to specific legislation.

3. Transparency

The data subject must be informed of how EnCap manages his or her data. As a matter of principle, personal data must be collected directly from the data subject concerned. When collecting the data, the data subject must either be aware of, or be informed of:

- i. The identity of the data controller
- ii. The purpose for which the data is being processed
- iii. The recipients or categories of recipients of the data
- iv. The right to access and rectify personal data
- v. That data collected for marketing purposes is voluntary

In addition, various jurisdictions may impose additional or differing requirements regarding the content and scope of this information. Such requirements might include, for example, information that a data subject has the right to object to contact made for marketing and advertising purposes. EnCap will not process sensitive data unless specifically authorized or required by law or the data subject gives express consent.

4. Transfers to Third Parties

When EnCap transfers personal data to another entity, country, or territory, EnCap will take reasonable and appropriate steps to maintain the required level of data protection. EnCap may transfer personal data to third parties consistent with the purposes for which EnCap originally collected the data or for other purposes authorized by law. All transfers of personal data to third parties for further processing shall be subject to written agreements. The CFO and general counsel and/or outside counsel shall develop standard terms and conditions for this purpose. When EnCap transfers sensitive data outside the organization or across public communications networks, EnCap will take appropriate steps to de-identify and protect such data against unauthorized access by use of encryption.

5. Data Quality Assurance

EnCap shall take the following steps to ensure that personal data that it collects or processes is complete and accurate. Personal data must be current and accurate when stored. Suitable steps must be taken to ensure that inaccurate or incomplete data are deleted, corrected, or supplemented.

- i. HR will establish and maintain a process to correct inaccurate, incomplete, ambiguous, misleading or outdated personal data.
- ii. Personal data should be erased (to the fullest extent practical) if maintaining it violates data protection rules or is no longer required by EnCap or for the benefit of the data subject.
- iii. EnCap should take reasonable steps to block personal data when the law prohibits erasure, erasure impairs legitimate interests of the data subject, erasure is not possible without disproportionate effort, or the data subject disputes the accuracy of the data and its accuracy cannot be determined.

6. Use of Third Party Processors

When EnCap relies on others to assist in its personal data processing activities, EnCap will choose a data processor that provides sufficient security measures and takes reasonable steps to ensure compliance with those measures. EnCap will evaluate the ability of each of our third party service providers to implement and maintain appropriate security measures for personal information. When EnCap uses third party processors, it will enter into a written contract with each data processor requiring it to comply with EnCap's data security policies. As part of EnCap's internal data security auditing process, EnCap will reserve the right to conduct security checks on processing by third party data processors, especially in respect of security measures.

7. Data Security

EnCap shall adopt reasonable physical, technical, and organizational measures to protect personal data, including measures to prevent alteration, loss, damage, unauthorized processing, or access.

Adequate security measures should include:

- i. Reasonable efforts to prevent unauthorized access to, and use of, data processing systems
- ii. Maintaining a record to verify access and use of data processing systems
- iii. Reasonable efforts to secure personal data against unauthorized destruction or loss

8. Employee Confidentiality

All persons involved in any stage of processing personal data are subject to confidentiality and non-disclosure requirements referenced in EnCap's Data Security Standards, Guidelines and Procedures Manual (Appendix 1) during the term of employment and to continue after termination of employment.

9. Training

EnCap will provide training to teach or re-emphasize privacy and security related procedures. Management will keep a record of the training of all users and their participation. Employee training should include at least the following:

- i. Each employee's duty to use and permit the use of personal data only by authorized persons and for authorized purposes
- ii. The need for and proper use of the forms and procedures adopted to implement this policy
- iii. The correct use of passwords, security tokens, and other access mechanisms

- iv. The importance of limiting access to personal data, such as by using password protected screen savers, logging out when the information is not being used and attended by an authorized person
- v. The annual completion of an information security training course, including the passing of a corresponding test, by all Employees and partners
- vi. Securely storing manual files, print outs, and electronic storage media
- vii. A general prohibition on the transfer of personal unencrypted data outside of the internal network and physical office premises
- viii. Proper disposal of confidential data by shredding, etc.
- ix. Special risks associated with particular activities

10. Limited Effect of Policy

This policy shall not be interpreted or construed as giving any individual rights greater than those that such person would be entitled to under applicable law and other binding agreements.

11. Definitions

- i. **Consent** – a legally binding expression of will, given voluntarily, in which the data subject declares his or her agreement to the processing of data
- ii. **Data** – information in a form that can be processed, including both automated and manual data
- iii. **Data Controller** – an individual or an organization that collects, stores, or processes any data about individuals electronically or in a structured filing system
- iv. **Data Owner** – generally, the manager or individual responsible for the creation of that data or information or the primary user. (This role often corresponds with the management of a business unit. In this context, ownership does not signify proprietary interest, and ownership may be shared.)
- v. **Data Processor** – any person, other than an employee of the data controller who processes the data on behalf of the data controller
- vi. **Data Security Incident** – any real or suspected event that may adversely affect the security or availability of EnCap information or the systems that process, store, or transmit that information

Examples of a data security incident include:

- a. Unauthorized access to data or computers, especially personally identifiable information like a person's name and social security number or financial account information
- b. Computers infected with malware such as a virus, worm, Trojan Horse, or botnet
- c. Reconnaissance activities such as scanning the network for security vulnerabilities

- d. A denial of service attack
- e. Website defacement
- f. A lost or stolen mobile device, including laptops, tablets, and mobile phones
- g. Violation of an EnCap security policy
- h. Security weakness such as an un-patched vulnerability
- i. Data security incidents that do not include adverse events that are not security-related, such as natural disasters and power failures
- vii. **Data Subject** – an individual who is the subject of personal data
- viii. **Encryption** – the use of an algorithmic process to transform data into a form in which there is a low probability of assigning meaning without the use of a confidential process or key
- ix. **Information Systems** – interconnected set of information resources under the same direct management control that shares common functionality, which typically includes hardware
- x. **Personal Data** – data related to a living individual who can be identified from such data or from data and other information in the possession of the data controller or data processor
- xi. **Password** – a confidential authentication composed of a string of characters
- xii. **Relevant Filing Systems** – any set of information relating to individuals, whether kept in manual or electronic files, structured, either by reference to individuals or by reference to criteria relating to individuals, in such a way that specific information relating to a particular individual is readily accessible
- xiii. **Users** – virtually all members of the EnCap community to the extent that they have authorized access to EnCap's information resources

F. INFORMATION SECURITY RISK MANAGEMENT

EnCap will periodically assess business risks, whether financial, reputational, or operational, that arise from collection, use, processing, storage, transmission of information, or the use of systems for operating industrial or mechanical processes, or any other IT activities. The risks, along with compensating controls in the form of the security posture and procedures adopted by the organization, will be tracked.

1. Outstanding risks will be recorded in a risk register. This register will include:
 - i. Risk description
 - ii. Scope (data and systems impacted, limitations of impact)
 - iii. Impact rating
 - iv. Likelihood of realization
 - v. Compensating controls
 - vi. Adjusted risk score

- vii. Risk owner
 - viii. Status
 - ix. Others as required
2. Risks are actionable, and their disposition will be tracked. Risks can be reduced or eliminated through the application of compensating controls, whether technical or procedural.
 3. Risks can be accepted by an appropriate authority for a period of one year, after which time they must be reduced, eliminated, or formally re-accepted.

G. VULNERABILITY MANAGEMENT AND PATCHING

1. Vulnerability Testing

EnCap maintains processes to identify and correct weaknesses at the network services, operating system, application, or physical level that present risks to EnCap systems (Security Vulnerability).

EnCap Investments will create and maintain a vulnerability management program. This program will:

- i. Assess IT systems for security vulnerabilities at least monthly.
- ii. Assess the risks associated with vulnerabilities found.
- iii. Maintain the vulnerability assessment tools or service to the most current standard.
- iv. Assess vulnerabilities annually, including Blackbox, Greybox, and Whitebox testing.
- v. Categorize vulnerabilities based on potential business impact and set a required remediation timeframe based on severity.
- vi. Track all vulnerabilities through remediation, reduction through compensating controls, or acceptance.

2. Security Vulnerability Classifications

- i. **Critical/High Risk Vulnerability:** The existing environment cannot prevent or reduce the likelihood of a data security incident occurring; and the existing deficiency, if exploited, would result in a loss of confidentiality, integrity, or the availability of EnCap's information.
- ii. **Medium Risk Vulnerability:** The existing environment may allow a data security incident to occur; and the existing deficiency, if exploited, would result in a loss of confidentiality, integrity or the availability of EnCap information.

- iii. **Low Risk Vulnerability:** The existing environment is likely to prevent or limit the damage from a data security incident and the existing deficiency, if exploited, is unlikely to result in a loss of confidentiality, integrity, or availability of EnCap's information.

3. Response/Correction Times

The following are the model Security Vulnerability Response and Correction Completion Times, including use of patches, if applicable:

Relative Risk Profile	Critical/High	Medium	Low
Time to provide response after discovery and assessment of risk classification	one (1) day	three (3) weeks	four (4) weeks
Time to provide work around to mitigate the risk	one (1) day	three (3) weeks	four (4) weeks
Time to provide final correction	seven (7) calendar days	three (3) weeks	four (4) weeks

H. EMPLOYEE TRAINING

1. Initial Security Orientation

Security training will be provided to new Employees, long-term contractors, and long-term consultants with access to the internal network, servers, workstations, or sensitive EnCap information and data as part of their orientation process.

2. IT Security Awareness Programs

Employees, long-term contractors, and long-term consultants with access to the internal network, servers, workstations, or sensitive EnCap information and data will receive periodic mandatory data security awareness briefings.

3. Policy Acknowledgement

New Employees (and existing Employees on a semi-annual basis) are required to sign the EnCap Compliance Manual acknowledgment and compliance questionnaire.

1. MONITORING AND OPERATIONS

EnCap reserves the right to monitor and ensure the appropriate use of company computing resources in a manner consistent with all applicable laws (including national, state, and local jurisdictions).

These may include:

1. periodic assessments of software use;
2. unannounced inspections of EnCap's computers, email stores, workstation hard drives, mobile devices or other EnCap property;
3. monitoring of website visits and network traffic;
4. monitoring of system and application activity logs to search for inappropriate use;
5. monitoring of user personal devices if those devices are connected to EnCap's network and/or contain EnCap proprietary information; and
6. the removal of any software found on EnCap's property for which a valid license or proof of purchase cannot be located, or which is determined to be inappropriate, at EnCap's sole discretion.

Current log source may be appropriate, including (yet not exclusive to):

1. Authentication logs (including Active Directory, Kerberos, ActiveSync, NAC, TACACS)
2. Network activity logs (including WWW Proxy/Content Filtering, full network traffic capture/analysis sources, DHCP)
3. Intrusion detection/prevention logs (including host and/or network IDP and firewall sources)
4. Anti-Malware activity logs
5. Application activity logs (including information generated during testing/debugging)
6. Network vulnerability assessment logs/reports
7. Backup/recovery caches and logs
8. Forensic images created for investigative purposes
9. Workstation, notebook, and mobile device activity logs

Log sources must be configured to capture, at minimum, the following information:

1. Activity details
2. Timestamp of activity
3. User ID associated with the action
4. Source location of activity
5. Destination location of activity

Network traffic is monitored using various techniques, including intrusion detection systems, outsourced monitoring and data loss prevention tools

Endpoints are proactively monitored for indicators of compromise utilizing software and outsourced monitoring.

EnCap reserves the right to similarly monitor any personal devices being used for company business.

EnCap reserves the right to limit access to any program, service, or capability accessed through EnCap's network or Internet that is deemed to pose a threat to information systems, violates any company policy, or impacts the productivity of EnCap's staff.

Reauthorization of User Access Privileges: The system privileges granted to every user must be reevaluated by the user's immediate manager annually to determine whether currently enabled system privileges are needed to perform the user's current job duties.

J. PASSWORDS

User passwords must never be shared or revealed unless expressly accessed by an authorized representative of EnCap or requested by a member of the IT group. Note that impersonation of the IT group is a common phishing tactic and users should confirm (e.g., via a "callback") the authenticity of the member of the IT group before sharing a password.

Passwords must be difficult to guess (not a dictionary word, not a personal detail, and not a reflection of work activities), kept private, and changed on a regular basis to keep them secure. Passwords must be treated as EnCap CONFIDENTIAL information.

Individual users should define their specific passwords in compliance with the following best practices:

1. Passwords must be a minimum of 12 characters.
2. Passwords must be made up of a combination of three of the following four character sets:
 - i. Upper case letter
 - ii. Lower case letter
 - iii. Number
 - iv. Special character
3. Employee passwords should expire in 180 days.
4. Contractor passwords should expire in 30 days.
5. Passwords must be encrypted when stored on systems within the EnCap network.
6. Passwords cannot be reused for the same user ID for a minimum of 10 full expiration periods.

7. Initial passwords or forgotten passwords requiring administrator intervention shall be set to a default value that is unique and private to the assigned user. Where possible, default passwords shall be pre-expired so the assigned user must define a new password upon initial login.
8. Default system passwords may not be used in EnCap systems and all such passwords must be changed to a unique value when a system is installed or activated.
9. The CIO will record password requests.

K. DATA CLASSIFICATIONS

1. Scope

This policy applies to all data sets belonging to EnCap wherever it is stored, transmitted, or processed. The format or storage media of the data does not matter, whether it is electronic data stored on digital media or transmitted across a network, or information stored in paper files.

2. Policy

- i. EnCap will maintain a data classification scheme to label data sets to indicate the risk posed to the organization due to the compromise of that classification of data.
- ii. EnCap will also maintain a set of required controls and handling rules for each classification of data calibrated in their rigor to the risks associated with the level of data classification. (Refer to EnCap's Information Classification and Handling Standard.)
- iii. EnCap has adopted the following data classifications:
 - a. **Confidential** – data of a sensitive nature, where its loss, destruction, corruption, or disclosure would impact operation through a loss of reputation/credibility, or a moderate loss of revenue
 - b. **Proprietary/Internal Use** – data of a sensitive nature, where its loss, destruction, corruption, or disclosure would result in minimal impact to EnCap but is not intended for public consumption
 - c. **External** – non-critical information shared with investors, service providers, and other external stakeholders, but is not public
 - d. **Public** – data generally available to the public where its loss would not impact EnCap
- iv. Systems inherit their security classification based on the highest classification of the data that they store, transmit, or process.
- v. Information and systems will be labelled with their assigned data classification.

3. Controls

The data classification and handling standard must include the following control categories, whose control specifics will differ between data classifications.

- i. Security requirements for storage (e.g., encryption, access control, authentication requirements, recovery from terminated users)
- ii. Security requirements for transmission and sharing (secured channels, need to know)
- iii. Network security requirements for systems
- iv. System hardening requirements for servers, workstations, laptops, mobile devices
- v. Backup and recovery requirements, including time to recovery
- vi. Data lifetime and destruction requirements
- vii. Handling procedures for users of the data

The classification and handling standard must be reviewed periodically to ensure that it is current with the latest control selections, complies with industry good practice, and aligns with the needs of the organization.

Refer to EnCap's Data Classification and Handling Standard for detailed information on controls requirements specific to each data classification.

L. NETWORK SECURITY

1. A user's account will be locked out after five failed attempts to authenticate to the network. Accounts will be locked out for a minimum of 30 minutes or until an Administrator unlocks the account.
2. Security-related code revisions, patches, and hot-fixes applicable to EnCap network nodes must be evaluated in a suitable test environment as soon as reasonably practical following release by the pertinent vendor. Revisions, patches, and hot-fixes deemed acceptable must be deployed to all applicable nodes as soon as possible, consistent with business requirements and system downtime constraints.
3. Servers, workstations, and other susceptible nodes connected to the EnCap network (directly or remotely) must be protected against malicious software threats with commercially available anti-virus software.
4. Traffic control devices and methods (i.e., firewalls, gateways, screening routers, etc.) must be deployed and maintained to isolate/protect segments of the EnCap network consistent with business requirements and current threats.
5. Log data must be retained and reviewed in accordance with legal, regulatory, and other EnCap requirements and practices, where applicable.

M. ACCESS CONTROLS

Access levels designate where and when employees, customers, vendors, and partners can have access to certain information and resources. Users will be granted appropriate access to EnCap's data, information systems, and facilities as necessary to achieve their specific duties and responsibilities. Access to certain EnCap data, information systems, and facilities requires unique user ID's and passwords, or authentication tokens. Access control mechanisms, where available, must be implemented to allow users access to only the data and functions required to perform their duties. Access control mechanisms include the ability to:

1. Restrict access to the data owner (as defined herein), designated individuals, or defined groups of users;
2. Group information resources and restrict access at a resource level;
3. Identify access holders to any particular file or resource;
4. Authorize users to access protected resources;
5. Allow data owners the ability to grant access to select users; and
6. Log and report attempts at unauthorized access.

N. ENCRYPTION (PERSONAL IDENTITY INFORMATION ONLY)

Encryption supports data privacy and integrity by providing a method to convert electronic information into a format that is readable only by authorized individuals.

Information deemed as protected and requiring encryption under applicable laws and regulations, or other applicable standards, must be encrypted as set forth in such standards.

Encryption keys must be safeguarded from unauthorized disclosure. When encryption is required, EnCap will use industry-standard (or better) encryption algorithms.

O. ASSET MANAGEMENT POLICY

In order for EnCap's leadership to make informed, business-driven decisions regarding computing assets, they must first know what assets exist and the status of those assets. This information provides EnCap's visibility into license utilization, software support costs, unauthorized devices, vulnerabilities, threats, and compliance posture. IT assets include items such as servers, desktops, laptops, and network devices, as well as software, applications, programs, and logical processes. EnCap's data, staff, devices, systems, and facilities that enable the organization to achieve business and operational objectives are identified and managed. The management of these assets is consistent with their relative importance to EnCap's business and operational objectives as well as EnCap's overall risk strategy.

1. Physical Asset Inventory
 - i. EnCap maintains an inventory of physical system components that:
 - a. accurately reflect EnCap's systems;

- b. includes all physical components within the authorization boundary of EnCap's systems;
 - c. is at a level of detail necessary for appropriate tracking and status reporting of assets; and
 - d. includes hardware inventory specifications (e.g., manufacturer, device type, model, serial number, physical location), component owners, machine names, and network addresses.
- ii. The inventory of physical devices is updated whenever:
 - a. physical system components are installed;
 - b. physical system components are removed; and
 - c. the system is updated.
- iii. EnCap employs automated mechanisms to detect the presence of unauthorized hardware within its system. Whenever unauthorized hardware is detected, network access is disabled, and EnCap's Information Technology Services (ITS) is notified.
- iv. EnCap verifies that all components within the authorization boundary of its system are not duplicated in other system component inventories.
- v. EnCap periodically reviews and updates the Physical Asset Inventory.
- vi. When physical assets reach their end of life, they will be disposed of in a manner consistent with their criticality.

2. Software Asset Inventory

- i. EnCap Investments maintains an inventory of logical system components that:
 - a. accurately reflect EnCap's system;
 - b. includes all software components within the authorization boundary of EnCap's system;
 - c. is at a level of detail necessary for appropriate tracking and status reporting of assets; and
 - d. includes items such as software license number and component owners.
- ii. The inventory of software is updated whenever:
 - a. logical system components are installed;
 - b. logical system components are removed; and
 - c. the system is updated.
- iii. EnCap employs automated mechanisms to detect the presence of unauthorized software and firmware within its system. Whenever unauthorized logical components are detected, the component is isolated and EnCap's ITS is notified.
- iv. EnCap verifies that all components within the authorization boundary of EnCap's system are not duplicated in other system component inventories.

- v. EnCap periodically reviews and updates its Software Asset Inventory.

3. Network Asset Inventory

- i. EnCap maintains a current network diagram as follows:
 - a. The network diagram includes network security zones.
 - b. The network diagram includes all network assets used for creating security zones.
 - c. The network diagram is updated whenever any changes are made to the network infrastructure or whenever new important assets are added to or removed from the environment.
 - d. The network diagram is updated on an annual basis.

SECURITY POLICY - APPENDIX 1

ENCAP INVESTMENTS L.P. DATA SECURITY STANDARDS, GUIDELINES, AND PROCEDURES MANUAL

A. INTRODUCTION

1. Purpose

This Data Security Standards, Guidelines, and Procedures Manual contains EnCap's present guidelines and procedures for the guidance of all employees and contractors with respect to data protection, data privacy, and cyber security matters.

The obligations under this Data Security Standards, Guidelines and Procedures Manual supplement, rather than supplant, all EnCap employees' obligations under the common law and EnCap's Electronic Information and Communications Policy.

2. Company Data Security Policies

This Manual and EnCap's Security Policy establish specific guidelines, procedures, and responsibilities for the management and control of EnCap's critical business information assets and personal data. They set forth guidance for the protection of such data processed and stored on all platforms, including stand-alone and networked systems, telecommunications systems, remote access, client-server environments, and gateways to non-EnCap systems.

3. Applicability

The guidelines and procedures outlined in this manual apply to all individuals and groups, including third parties, who are entrusted with EnCap information. Willful disregard could result in disciplinary action, up to and including termination of employment.

B. DATA ACCESS, STORAGE, AND TRANSMISSION

1. Information Classification

Unless otherwise classified, all internal EnCap information records should be treated as EnCap proprietary/internal.

2. Vendors and Service Providers

Third parties that handle EnCap data must adhere to relevant legal and regulatory requirements and the security standards set forth in EnCap's Security Policy and the guidelines and procedures outlined in this Manual.

Any contracts with vendors or service providers involving storage, transmission, or access to EnCap data must have prior authorization and approval from the CFO to ensure that such third

party agreements contain sufficient data and cyber security protections for EnCap and EnCap data.

C. DEVICE AND NETWORK USE

1. Purpose

The systems, networks, and tools EnCap uses to store and process data provide significant efficiency to implement EnCap's mission. Employees are expected to use EnCap property for conducting business on EnCap's behalf and must comply with EnCap's policies and procedures regarding the use of EnCap's communication systems. Employees must use EnCap resources responsibly and in a safe, legal and professional manner.

All employees and third parties, who handle EnCap's data, must adhere to relevant legal and regulatory requirements, including respect of copyright and licensing restrictions.

While EnCap respects the privacy of its Employees, EnCap reserves the right, in its discretion, to review Employee electronic files and information systems usage to the extent necessary to ensure that electronic media and services are used in compliance with relevant legal requirements and EnCap's policies.

It is the responsibility of each staff member to ensure that the computer hardware available to him or her remains in good operational order. Misuse and damage to computer hardware may be subject to disciplinary action. All problems relating to the operations of a computer must be reported to the CIO at the earliest opportunity.

2. Acceptable Use Rules

General Acceptable Use Rules:

- i. Access to data networks, computers, and other EnCap information processing resources may be provided for users with a valid business need. While casual personal use is acceptable outside of work responsibilities, EnCap intends its resources for EnCap business. EnCap is not responsible for personal files such as pictures, music, videos, or data that are lost due to reimaging of workstations, laptops, or mobile devices.
- ii. EnCap prohibits users to remove or convert to personal use or benefit, any information or information systems belonging to EnCap without proper authorization.
- iii. Users must abide by pertinent copyright and licensing restrictions on all external information or software (free or otherwise), which is downloaded, processed, stored, viewed, or distributed using EnCap's information processing resources.
- iv. Users may not manipulate or abuse EnCap's information resources provided for their use. Examples of abuse include: activities intended or designed to cause damage, denying access to other users, increasing priority or access to services at

the expense of other users, attempting to detect or exploit security vulnerabilities, and bypassing or disabling security access controls.

- v. Users may not download any software or materials unless EnCap has approved such download and has taken appropriate anti-virus measures.
- vi. Users may not use encryption devices and software that have not been expressly authorized by EnCap.

3. Network Access

Access to EnCap's network is intended for EnCap business needs only. Only Company-issued equipment is allowed to access the network and must be kept safe and up-to-date with anti-virus and other system protection software.

Third party access to EnCap's systems and network must be secured in a safe and professional manner, with appropriate contracts in place to protect the interests of both parties and to ensure third party adherence to this policy. Third parties accessing EnCap's information systems must contractually agree to adhere, at a minimum, to EnCap's data protection policies and procedures.

The IT group must be notified of all agreements for third party access to EnCap's information systems. The IT group must not implement connections or grant access to third parties without verifying the third party's agreement to meet or exceed EnCap's security policies.

Agreements for such third party access should be reviewed periodically to ensure a continued need for access. Other than approved individuals who are issued EnCap contractor ID's, third parties must not be granted continuous access to EnCap's network and information systems. Where access is provided to other third parties, strong authentication will be used to access EnCap's network.

Each user should "sign off" his or her workstation before leaving for the day or when absent from their desks for an extended period.

4. Electronic Communication

EnCap's electronic communications systems and all messages, information or files received, transmitted, stored, or handled by EnCap's systems, including back-up copies, are considered to be EnCap's exclusive property. Electronic communications using EnCap's systems and equipment must be consistent with conventional standards of ethical and proper conduct, behavior, and manners. EnCap's electronic communications systems may never be used to create, forward or display any offensive or disruptive messages. Among those that are considered offensive are, messages which contain sexual content, racial slurs, or other comments that offensively addresses someone's race, color, sex, religion, national origin, age, citizenship status, disability status, genetic information, membership or application for membership in a uniformed service, engaging in legally-protected activity as defined by applicable law, or other classification protected under applicable law.

Email Security:

- i. Care must be used when opening email and email attachments. Users must not open attachments from unknown senders. Users should contact IT to report suspicious emails or attachments.
- ii. EnCap takes reasonable steps to protect users from unnecessary spam email. EnCap reserves the right to block any non-business related emails.
- iii. Unwanted spam email should be deleted or forwarded to IT. Users should never respond to or unsubscribe from any spam email.
- iv. Sensitive data such as payment card information and Protected Health Information (PHI), should never be sent via email in an unencrypted format.

Employees should keep in mind that voicemail and email are more permanent than written communications on paper. Even when a voicemail or email has been “erased” or “deleted,” it is still possible to retrieve, read, print and forward the message.

Default encryption protection:

- i. Users are reminded that EnCap’s electronic communications systems are encrypted. However, sensitive information should be further encrypted when sent via electronic communications systems. The IT group should be contacted for assistance.

Respecting privacy rights:

- i. EnCap respects the rights of its Employees, including their reasonable expectation of privacy. Users of EnCap’s systems should, however, be aware that they have no right of privacy with respect to any communication, information or file created, received, transmitted or stored through EnCap’s electronic communications, Internet or Intranet systems or other technical resources. Furthermore, EnCap reserves its right to review, audit, intercept, monitor, access and disclose all messages and files on its computer and network systems as deemed necessary and appropriate. All communications, including recordings (voicemail), text and images, can be disclosed to law enforcement or other third parties without prior consent of the sender or the receiver.
- ii. EnCap cannot and does not guarantee that electronic communications will be kept private from others. Employees should be aware that electronic communications might be forwarded, intercepted, printed, and stored by others. Furthermore, third parties acting on behalf of EnCap may access electronic communications in accordance with this policy.

5. Network Security

Except as otherwise set forth herein, use of EnCap’s network and attached devices for other than EnCap business purposes is not authorized.

The identity of every user on the EnCap network must be individually authenticated using approved methods before that user will be granted access.

Individual users may not connect devices to the EnCap network without appropriate authorization. Allowed hardware used to connect to the EnCap network includes Company-owned laptops, desktops, along with personal smart phones and tablets. Personal desktops and laptops cannot be used to access the EnCap network.

Only channels approved and supported by the CIO may be used to remotely access EnCap information and information systems.

Each user requesting remote access to common desktop applications must require approval of his or her manager. Requests for custom or administrative remote access will require approval by the IT group. Users administering EnCap's IT resources via remote access channels should only use approved administration tools.

Remote access users will be required to authenticate using a two-factor (e.g., RSA secure id), or stronger, method before being allowed access to EnCap's information or information processing systems.

Every user accessing EnCap's information and information processing systems remotely must ensure every company-owned remote computer used is configured with basic security measures such as current anti-virus and personal firewall software.

Every user must control access to his/her company-owned remote computer so that no other person can utilize an active remote computer.

6. Mobile Devices

All users' mobile devices (e.g., phones and tablets) which are used to conduct EnCap business must use the Mobile Device Management System implemented by the IT Group prior to accessing EnCap's network resources. The IT group should be contacted to add a mobile device to the Mobile Device Management System.

7. Violations

Violations of any guidelines herein may result in disciplinary action, up to and including immediate termination. If necessary, EnCap will advise appropriate officials of any illegal violations.

EnCap reserves the right to monitor or investigate suspected misuse of EnCap's computer systems, equipment, messaging services, and intranet access when presented with reasonable cause. The extent of monitoring or investigation will be proportionate with the suspected violation.

This policy serves as notification that monitoring may be necessary in cases where there is suspected misuse of EnCap supplied tools that affect business processes, individual

productivity, or peer productivity. Monitoring may also occur when an employee's direct manager presents reasonable cause to HR and/or senior level management.

D. USE OF SOCIAL MEDIA

1. Purpose

Use of social media sites or apps (including, but not limited to Facebook, Snapchat, Twitter, Instagram, Vine, and LinkedIn) can pose risks to EnCap's confidential and proprietary information and reputation, and can jeopardize EnCap's compliance with certain laws and regulations. To minimize these risks, and to ensure that EnCap's IT resources and communications systems are used appropriately, EnCap expects its employees to adhere to the following guidelines regarding the use of social media.

2. Compliance with Related Policies

EnCap prohibits Employees' use of social media that would violate any EnCap policy or Employee obligation. EnCap specifically prohibits Employees to use social media to:

- i. Engage in harassment or stalking activities;
- ii. Circumvent policies prohibiting unlawful discrimination against current employees or applicants for employment;
- iii. Access password-protected sites of co-workers or other EnCap stakeholders without authority; and
- iv. Violate any other laws or ethical standards.

3. No Expectation of Privacy

All contents of EnCap's IT resources and communications systems are the property of EnCap. Therefore, Employees should have no expectation of privacy when using social media using the company's electronic information and communications systems.

EnCap reserves the right to monitor, intercept and review, without further notice, Employee activities using the Company's electronic information and communications systems, including but not limited to, social media postings and activities, and Employees consent to such monitoring by their acknowledgment of this Manual and use of such resources and systems. This might include, without limitation, the monitoring, interception, accessing, recording, disclosing, inspecting, reviewing, retrieving and printing of transactions, messages, communications, postings, log-ins, recordings and other uses of the systems as well as other network monitoring technologies except as prohibited by law.

EnCap may also store copies of such data or communications for a period after they are created, and may delete such copies from time to time without notice.

4. Responsible Use Guidelines

The following bullet points provide Employees with common-sense guidelines and recommendations for using social media responsibly, safely, and in EnCap's best interests. These guidelines are not intended to contradict, limit, or replace applicable legal requirements, policies, or contractual obligations.

- i. Be aware that comments and postings on social media are available to the public at large.
- ii. If an Employee's relation with EnCap is disclosed, make it clear that such Employee's views are his or her own; and do not attribute such views to EnCap, its affiliates, business partners, or members.
- iii. Use good judgment about what is posted and remember that anything said can reflect on EnCap, even if a disclaimer is included.
- iv. EnCap encourages professionalism and honesty in social media and other communications.
- v. Protect EnCap's confidential information and intellectual property and do not put such information and property at risk through the use of social media. In addition, avoid misappropriating or infringing the intellectual property of other companies and individuals, which could create liability for the Employee and EnCap.
- vi. Where appropriate, reference the source(s) of particular information posted or uploaded, and accurately cite such source(s).
- vii. Do not post anything that EnCap's customers, members, clients, business partners, suppliers or vendors would find malicious, obscene, threatening, or intimidating, that disparages investors, clients, co-workers, supervisors, or people who work with and on behalf of EnCap, or that might constitute harassment or bullying.

This Manual is not intended to restrict communications or actions protected or required by state or federal law. The obligations under this article supplement, rather than supplant, all Employees' obligations under the common law and EnCap's Online Social Networking and Media Relations Policy.

E. DATA SECURITY

EnCap has established a written Security Incident Reporting and Response Plan [Appendix 2] to EnCap's Security Policy, complete with communication and escalation guidelines as well as technical guidance on incident detection assessment, forensics, containment, and recovery.

Any Employee who discovers a breach or potential breach shall notify his or her immediate supervisor and the CFO. In the event of a data security incident, EnCap management shall initiate the Security Incident Reporting and Response Plan as appropriate.

All designated personnel responsible for responding to and handling suspected security breaches shall undergo periodic training as needed to maintain continued awareness and current skillset in regards to responding to security breaches.

SECURITY POLICY - APPENDIX 2

ENCAP INVESTMENTS L.P. SECURITY INCIDENT REPORTING AND RESPONSE PLAN

A. INTRODUCTION

1. Purpose

The purpose of these procedures is to insure effective and consistent management of security incidents involving EnCap's information and information technology resources. These procedures implement EnCap's Security Incident Reporting and Response Plan (the "Incident Response Plan"), which identifies and describes the roles and responsibilities of the Incident Response Team. The Incident Response Team is responsible for putting the Incident Response Plan into action.

2. Scope

These procedures apply to all EnCap personnel, units, and affiliates that use, access, control, maintain, or create company information and information technology resources.

3. Document Owner

Any questions about the Incident Response Plan should be directed to the CFO.

4. Policy

Information security is a priority at EnCap, and EnCap takes the security of its people and information very seriously. EnCap strives to avoid data security incidents; but, if one does occur, it is imperative that EnCap promptly responds in accordance with its Incident Response Plan to avoid harm to the Company and its Employees, management teams, investors, and supporters.

All members of the EnCap community are responsible for reporting known or suspected information or information technology security incidents. All incidents at EnCap must be promptly reported to the CIO and others as outlined in section 3 above.

B. INCIDENT RESPONSE TEAM

1. Incident Response Team

The Incident Response Team is responsible for managing security incidents involving the loss or unauthorized access of personal data and personal identity information and other security incidents involving EnCap's data or network systems. The Incident Response Team will subscribe to various security industry alert services to keep abreast of relevant threats, vulnerabilities or alerts from actual incidents.

The team has authority to make decisions related to the incident and to make required notifications. The team consists of:

Shamil Zuberi, CIO szuberi@encapinvestments.com
Craig Friou, CFO cfriou@encapinvestments.com

2. Incident Response Overview

The Incident Response Team will be responsible for implementing this Incident Response Plan. If EnCap experiences a security incident, appropriate personnel should immediately begin responding to the incident, which will generally consist of the following steps:

- i. Discovery & Reporting
 - a. Identify the incident or potential incident.
 - b. Immediately report the incident or threat to the proper party.
- ii. Initial Response
 - a. Secure and isolate affected systems to limit further data loss.
 - b. Preserve evidence. Convene the Incident Response Team in accordance with this plan.
 - c. Know your role. Coordinate investigation and remediation.
- iii. Investigation
 - a. Gather information on the incident.
 - b. Consider involving forensics team and general counsel and/or outside counsel.
 - c. Analyze the cause of the incident and the affected systems.
 - d. Analyze legal requirements and liabilities going forward.
- iv. Remediation
 - a. Comply with legal requirements including breach notification.
 - b. Remove known vulnerabilities; repair systems.
 - c. Respond to third party inquiries. Consider contacting law enforcement.
- v. Post-Incident Review
 - a. Review analysis and notes regarding the incident.
 - b. Improve practices as necessary.
 - c. Improve policies as necessary.

Although the steps set forth in this Incident Response Plan should be applied to any and every security incident, the actual scope of the investigation and response will depend on the type and severity of the security incident. For example, a security incident involving personal data or

personal identity information will require a more thorough investigation and response than a security incident that does not involve such information or data.

C. INCIDENT RESPONSE STEP 1: DISCOVERY & REPORTING

1. Overview

The first step to responding to a security incident is to identify the incident and report it to the proper internal contacts. Employees who receive or discover information regarding a security incident or potential security incident should report that information immediately to the CIO and CFO. Upon notice of a security incident or potential security incident, the CFO will activate the Incident Response Team and implement the Incident Response Plan.

Security incidents or potential security incidents should be reported immediately upon discovery, but in no event later than 24 hours after discovery.

The key during this stage is to ensure that security incidents are identified and that the proper parties are made aware of the incidents so that EnCap can respond in a prompt, orderly manner.

2. Specific Responsibilities – Discovery & Reporting

CIO:

- i. Be prepared to be the central point of contact for all computer and network related data security incidents.
- ii. Be prepared to receive notice of security incidents or potential security incidents.
- iii. Report notices of security incidents or potential security incidents with others within the IT group.
- iv. Continuously monitor computer logs to identify potential security vulnerabilities.
- v. Create a database to track all reported security incidents.
- vi. Ensure that EnCap installs the latest software security patches to allow for early discovery of security incidents.
- vii. Ensure that information systems are appropriately updated.
- viii. Ensure that data and information systems are appropriately mapped.
- ix. Coordinate with other team members.

CFO:

- i. Activate the Incident Response Team and direct and coordinate investigation.

D. INCIDENT RESPONSE STEP 2: INITIAL RESPONSE

1. Overview

Once a security incident is reported to a member of the team, the team members will coordinate to begin the response in accordance with this policy. This step is critical because the information obtained and the steps taken immediately after discovery can impact the investigation and ensuing response.

The keys during this stage are to (a) determine the scope of the security incident, (b) stop the intrusions from spreading further into EnCap's computer systems, (c) prevent further damage, (d) maintain any evidence, and (e) determine whether sensitive information is involved, and thus notification requirements may be triggered.

2. Specific Responsibilities – Initial Response

CIO:

- i. Maintain security and confidentiality throughout the response process.
- ii. Record all findings, evidence, and analysis in detailed records.
- iii. Perform a preliminary analysis and assess the incident to determine the nature and scope of the incident. Make preliminary determination of whether the security incident resulted from (a) intentional attack/hack on the Company systems, (b) opportunistic breach, or (c) innocent mistake.
- iv. Identify the systems and the class and type of information affected and determine whether a compromise of personal identity information exists or if such information is at risk and work with the data owner to determine the identity and the number of individuals affected.
- v. If a privacy breach affecting sensitive information is confirmed, notify general counsel and/or outside counsel as soon as possible.
- vi. Take measures to contain and control the incident to prevent further unauthorized access to, or exfiltration of sensitive information, including shutting down particular applications or third-party connections, reconfiguring firewalls, changing computer access codes and modifying physical access controls.
 - a. Do not access or alter the compromised system.
 - b. Do not turn off the compromised machine. Isolate the system from the network (i.e., unplug cable).
 - c. Change all applicable passwords for IDs that have access to sensitive information, including system processes and authorized users. If it is determined that an authorized user's account was compromised and used by the intruder, disable the account.
 - d. Change the wireless network Service Set Identifier (SSID) on the access point and other authorized devices that may be using the corporate wireless network.

- vii. Examine system logs of critical systems for unusual activity.
- viii. Monitor systems and the network for signs of continued intruder access.
- ix. Ensure backups are in place for all critical systems.
- x. Take action necessary to block traffic from suspected intruder.

E. INCIDENT RESPONSE STEP 3: INVESTIGATION

1. Overview

If the initial investigation confirms the existence or possibility of a security incident, the Incident Response Team, will launch a full investigation into the incident and the data involved. This step is critical to determine the scope of the security incident, identify affected individuals, identify legal requirements, and prepare proper responses.

The key during this stage is to determine (a) how the incident occurred, (b) who is responsible for the incident, (c) what data/information was involved, (d) who's information was compromised, (e) what requirements/obligations EnCap will have going forward, and (f) what improvements should be made by EnCap to prevent future incidents.

2. Specific Responsibilities – Investigation

CIO:

- i. When the CFO activates the Incident Response Plan, perform a preliminary analysis of the facts and assess the situation to determine the nature of the incident.
- ii. In close coordination with general counsel and/or outside counsel, document the details of the incident and the steps taken to contain, control, and investigate.
- iii. Coordinate with forensics team and general counsel and/or outside counsel in investigation efforts.
- iv. Determine if an intruder has exported or deleted any sensitive information.
- v. Identify and contact the appropriate data owner affected by the security incident.
- vi. Determine where and how the security incident occurred.
 - a. Identify the source of compromise and the timeframe involved.
 - b. Review the network to identify all compromised or affected systems. Consider third-party connections, the internal corporate network, virtual private networks, and modem connections. Look at appropriate system and audit logs for each type of system affected.
 - c. Document all Internet protocol addresses, operating systems, domain names, system names, and other pertinent system information.
- vii. Preserve all system and audit logs and evidence for law enforcement and potential criminal investigations. Ensure that the format and platform used is suitable for

review and analysis in court proceedings if needed. Document all actions taken, by whom, and the exact time and date. Each Employee involved in the investigation must record his or her own actions. Record all forensic tools used in the investigation.

- viii. Ensure that all service packs and patches are current on critical computers.
- ix. Run tracing tools such as sniffers, transmission control protocol (TCP) port monitors and event loggers.
- x. Look for signs of a firewall breach.
- xi. Determine if there was a compromise of the following financial data and identify the individuals impacted:
 - a. Employee credit card information
 - b. Personal check authorization
 - c. Financial account information
- xii. Determine data sources breached (hardcopy or electronic).
- xiii. Coordinate with the CFO to identify additional resources needed to complete the investigation.
- xiv. In coordination with the CFO and within 24 hours of determining a compromise of credit card account information, notify the appropriate card companies, such as:
 - a. Visa Fraud Control Group
 - b. MasterCard Compromised Account Team
 - c. Discover Fraud Prevention
 - d. American Express Merchant Services

CFO:

- i. Coordinate with forensics team and general counsel and/or outside counsel in investigation efforts.

F. INCIDENT RESPONSE STEP 4: REMEDIATION

1. Overview

After performing the investigation, the Incident Response Team must appropriately respond to the incident. The response should be tailored (based on the information obtained during the investigation) to mitigate damages, comply with legal requirements, fix affected systems, remove any discovered vulnerabilities, and return EnCap systems online.

The key during this stage is to ensure that all individual responses are coordinated to (a) remove the threat, (b) avoid further damage/loss, (c) repair affected systems, (d) comply with legal requirements (including, without limitation breach notification requirements (see below)), (e) remove system vulnerabilities, (f) bring the repaired systems back online, and (g)

respond to third-party inquiries or make a public announcement (if such an announcement would be prudent).

2. Breach Notifications

Depending on the information/data involved and the scope of the data security incident, EnCap may be required by law to notify individuals who may be impacted by a data security incident. This notification obligation is very specific and, if done incorrectly, could lead to penalties for EnCap. The Incident Response Team should work closely with general counsel and/or outside counsel to ensure that the breach notification, if required, is done properly.

Notification to individuals should be timely, conspicuous, and delivered in a manner that will ensure that the individual receives it. Notice should be consistent with applicable laws and regulations.

Appropriate delivery methods include:

- i. Written notice
- ii. Email notice
- iii. Substitute notice (conspicuous posting of the notice on the Company's website and notice delivered through major media)

Content of notification to individuals should include, among other things:

- i. A general description of the incident and information to assist with mitigating potential harm, including a customer service number, steps to obtain and review individual credit reports and to file fraud alerts with nationwide credit reporting agencies, and sources of information to assist with identity theft protection
- ii. Reminder to remain vigilant over the next 12 to 24 months and to report incidents of suspected identity theft
- iii. Information on the Federal Trade Commission's (FTC) online guidance regarding identity theft protection, including the reporting of any suspected incidents of identity theft; and the FTC's contact information *at the time of publication of this Manual*, which are www.ftc.gov/idtheft and 1.877.IDTHEFT (toll-free hotline).
- iv. Discussion on additional requirements and state-specific obligations with general counsel and/or outside counsel

3. Specific Responsibilities – Remediation

CIO:

- i. Repair systems and get EnCap systems and network back up and running.
- ii. Repair any discovered vulnerabilities.
- iii. Apply any necessary patches.

- iv. Replace damaged systems.
- v. Back up repaired systems.
- vi. Change passwords as needed.

CFO:

- i. Advise Managing Partners on key findings as appropriate.
- ii. Notify the appropriate regulatory authorities and law enforcement if necessary.
- iii. Coordinate with forensics team regarding recommendations and corrections.

G. INCIDENT RESPONSE STEP 5: POST-INCIDENT REVIEW

1. Overview

The Incident Response Team's job is not complete after the data security incident has been contained and EnCap is back online in that it is imperative to learn from a data security incident to be better prepared to deal with the next one. After responding to an incident, the Incident Response Team should review notes and use the information obtained from the data security incident to (a) better understand and remove vulnerabilities, (b) improve incident response procedures, (c) improve EnCap's computing systems and technical defenses, (d) aid in any criminal or civil action against the violators, and (e) prevent or limit reputational harm to EnCap.

2. Specific Responsibilities – Post-Incident Review

All Team Members:

- i. Take detailed notes.
- ii. Preserve evidence.
- iii. Provide recommendations to other team members based on evidence and notes.
- iv. Maintain and review incident logs.

CFO:

- i. Direct preservation of evidence efforts and litigation holds.
- ii. Review incident logs.
- iii. Prepare and implement recommendations for improvements in technical or physical defenses, data storage, or system access.

SECURITY POLICY - APPENDIX 3

ENCAP INVESTMENTS L.P. PRIVACY STATEMENT

EnCap considers privacy to be fundamental to its relationship with the limited partners of its Funds and respects such limited partners' rights to privacy. For these reasons, EnCap is committed to maintaining the confidentiality, integrity, and security of the non-public information of its current and former limited partners. Accordingly, EnCap has developed internal policies to protect confidentiality while meeting the limited partners' needs.

EnCap is aware that it is expected to manage its Funds in an accurate and efficient manner. To do so, EnCap must collect and maintain certain non-public information about the limited partners of its Funds from sources such as subscription agreements and information captured on related websites (see separate Privacy Policy on EnCap's website at www.encapinvestments.com).

EnCap will not disclose any Non-public Personal Information about limited partners who are individuals, except to EnCap affiliates and service providers as allowed by applicable law or regulation and as set forth within the Fund documents. In the normal course of serving its limited partners, information collected by EnCap may be shared with its service providers, such as accountants and attorneys. Specifically, EnCap may disclose to such service providers Non-public Personal Information including:

- Information received on subscription agreements or other forms, such as name, address, account or tax identification number, and the types and amounts of investments
- Information regarding transactions with EnCap, its affiliates or others, such as ownership of certain types of accounts, or other account data

Any party that receives Non-public Personal Information will only use it for the services required and as allowed by applicable law or regulation, and is not permitted to share or use such information for any other purpose. To protect the personal information of individuals, EnCap permits access by only authorized Employees who need access to that information to provide services to the Funds and the limited partners. In order to guard limited partners' Non-public Personal Information, EnCap maintains physical, electronic and procedural safeguards that comply with U.S. federal standards. An individual limited partner's right to privacy extends to all forms of contact with EnCap, including telephone and written communication, and electronic media, such as the Internet.